

The Keystone Mandate: A Legislative Blueprint for Principled Cannabis Reform

Note to Legislator:

This document is intentionally designed to serve as a political and legislative playbook—an "off-ramp" that allows Pennsylvania to reclaim control over its own markets while adhering to core principles of fiscal responsibility and economic liberty.

I hope you find this framework to be a valuable tool as you work to build the bipartisan consensus necessary to pass responsible and effective cannabis legislation for the Commonwealth.

Respectfully,

Daniel Hughes
Constituent, 29th Senatorial District (Argall)

A Principled Path Forward: A Framework for Cannabis Legalization in Pennsylvania Based on Federalism and Good Governance

By Daniel Hughes

Policy Disclaimers

Disclaimer of Origin: This document reflects the distilled policy insights of a dedicated Pennsylvania constituent, informed by years of focused cannabis advocacy and public policy experience. It is presented independently and does not represent the position or product of any professional lobbying entity or institutional think tank.

Defusing the Political Third Rail:

This framework deliberately bypasses the standard progressive

rhetoric of social policy and restorative justice, which often generates apprehension among fiscally conservative constituents.

Instead, this analysis rigorously adheres to principles of good governance, fiscal prudence, market efficiency, and constitutional federalism. By framing cannabis reform as an indispensable measure for public safety and the reclamation of state sovereignty—a necessary remedy for demonstrable governmental failure—this document fundamentally refutes the perception that this policy is merely a "social experiment" and instead establishes it as a mandatory exercise in responsible conservative leadership.

Executive Summary

This report provides a principled and practical framework for the Pennsylvania General Assembly to legalize adult-use cannabis. It argues that such a policy, when properly structured, is not a departure from conservative principles but a powerful affirmation of them. Grounded in the ideals of federalism, limited government, economic liberty, and good governance, this framework offers a durable "off-ramp" for legislators seeking a constitutionally sound and fiscally responsible path forward.

The core thesis is that Pennsylvania possesses the unequivocal constitutional authority to end its own prohibition on cannabis, irrespective of federal law. This action is not one of defiance but a rightful exercise of state sovereignty, rooted in the U.S. Constitution's principles of enumerated powers and the anti-commandeering doctrine, which prohibits the federal government from compelling state resources to enforce federal statutes.¹ By repealing its own cannabis laws, Pennsylvania reclaims its authority to set local policy that reflects the values and priorities of its citizens.

The success of this policy, however, hinges on its design. This report presents a stark warning against the high-tax, over-regulated models that have failed in states like California and New York. These approaches have inadvertently sustained the very illicit markets they were intended to eliminate, fostering cronyism and corruption through restrictive licensing schemes while failing to generate projected revenues.³

In contrast, the recommended Pennsylvania model is built on free-market principles. It advocates for a light-touch regulatory body with a narrow mandate focused solely on public health and safety. It calls for an open licensing system with no arbitrary caps, allowing competition to flourish in the marketplace, not in the state capitol. This approach is the most effective means to displace the illicit market, ensure consumer safety, and prevent the creation of a government-sponsored cartel.³

Fiscally, the framework proposes a simple, low-rate retail excise tax. This structure is designed to achieve the primary objective of any sound legalization policy: making legal products price-competitive with their illicit counterparts.⁶ The goal is not to create a revenue windfall to fund unrelated government programs—a strategy proven to fail—but to establish a stable, legal market that generates predictable revenue to cover its own regulatory costs and contribute responsibly to the state budget.

Finally, this report demonstrates that legalization is a "smart on crime" policy that enhances public safety and restores justice. Empirical evidence from other states shows that ending cannabis prohibition frees up law enforcement resources, allowing police to focus on serious violent and property crimes, leading to higher clearance rates.⁷

Furthermore, true justice requires rectifying the past harms of prohibition. To that end, this framework mandates the automatic expungement of prior non-violent cannabis offenses, removing government-imposed barriers to employment and economic opportunity for thousands of Pennsylvanians.⁹

By adopting this framework, the Pennsylvania legislature can move beyond a contentious and outdated debate. It can seize an opportunity to lead with a policy that is constitutionally sound, economically vibrant, fiscally prudent, and fundamentally just. This is not merely a policy about cannabis; it is a reaffirmation of the principles of federalism and good governance that should guide all legislative action.

Section I: The Constitutional Prerogative: Federalism as the Foundation for State-Led Cannabis Policy

The initial and most significant hurdle for many state legislators

considering cannabis legalization is the apparent conflict with federal law. However, a proper understanding of the U.S. Constitution's federalist structure reveals that this conflict is far less prohibitive than commonly perceived. For the Pennsylvania General Assembly, acting on cannabis policy is not an act of defiance against federal law but a rightful and constitutionally protected exercise of the Commonwealth's sovereign authority. This section provides the foundational legal and philosophical justification for state-led reform, framing it as a restoration of the balance of power envisioned by the nation's founders.

1.1 The Principle of Enumerated Powers and the Limits of Federal Authority

The architecture of the U.S. Constitution is built upon the principle of federalism, a system in which power is divided between the national government and the state governments. A cornerstone of this system is the doctrine of enumerated powers, which holds that the federal government possesses only those powers explicitly granted to it by the Constitution.¹¹ The Tenth Amendment codifies this principle, stating that powers not delegated to the federal government, nor prohibited to the states, are reserved to the states respectively, or to the people. A careful reading of the Constitution reveals no explicit power granted to the federal government to prohibit substances like cannabis for personal use.¹¹ The federal government's authority to regulate cannabis is derived from a broad interpretation of the Commerce Clause, an interpretation that has expanded federal power far beyond its original scope. The federal Controlled Substances Act (CSA) of 1970, which classifies marijuana as a Schedule I substance alongside heroin, represents a significant disruption of the federalist structure.¹¹ It imposed a top-down, one-size-fits-all policy on a nation of diverse states, undermining the local policymaking and experimentation that the Framers understood to be essential for a vast and varied republic.¹³ For legislators concerned with the steady erosion of state authority and the growth of federal overreach, challenging the premises of the CSA is not a radical act but a necessary defense of core constitutional principles.

1.2 Deconstructing Federal Supremacy: The Anti-Commandeering Doctrine

Opponents of state-level legalization often invoke the Supremacy Clause of Article VI, which states that federal laws are "the supreme Law of the Land." However, this clause is not a grant of unlimited federal power. It applies only when federal and state laws are in direct, irreconcilable conflict. The Cato Institute's legal analysis, drawing upon the work of constitutional scholars such as Robert Mikos, provides a crucial distinction: a state's decision to repeal its own prohibitions on cannabis does *not* create the kind of direct conflict that triggers federal preemption.¹

When a state legalizes cannabis, it is not asserting that the federal CSA is invalid. It is simply repealing its own, separate state laws that also criminalized the activity. The federal statute remains on the books and is still enforceable by federal agents.¹ This distinction is the key to understanding Pennsylvania's legal authority.

The legal shield that protects this authority is the anti-commandeering doctrine. This powerful, judicially affirmed principle establishes that the federal government cannot "commandeer" the legislative processes of the states by directly compelling them to enact and enforce federal regulatory programs. More importantly, it forbids the federal government from compelling state and local law enforcement officers to enforce federal law.¹ This means that Pennsylvania can legalize cannabis simply by repealing its own criminal statutes and directing its state and municipal police forces to cease arrests and prosecutions for activities that are no longer illegal under state law. While federal agencies like the Drug Enforcement Administration (DEA) would remain free to enforce the CSA within Pennsylvania's borders, they would have to do so with their own resources. They cannot force a single Pennsylvania state trooper or local police officer to participate in such enforcement actions.¹ This doctrine provides a clear and constitutionally sound pathway for the state to opt out of the federal war on marijuana.

1.3 Pennsylvania's Path: A Policy of Non-Cooperation, Not Nullification

It is imperative to distinguish the constitutionally sound policy of non-cooperation from the historically and legally discredited doctrine of

"nullification." A policy of nullification would involve Pennsylvania declaring the federal CSA to be void and unenforceable within its borders, an action that clearly violates the Supremacy Clause. The framework proposed here does not advocate for such a measure.

Instead, Pennsylvania would be exercising its sovereign right to govern its own affairs and allocate its own public resources—including its law enforcement personnel—according to its own priorities.¹ The state would simply be choosing to no longer participate in the federal government's prohibitionist regime. This is a policy of strategic non-cooperation with a federal program that the Commonwealth deems ineffective, costly, and an intrusion upon its reserved powers. This path is not uncharted territory. To date, over 90 percent of states have enacted some form of cannabis liberalization, from medical programs to full adult-use legalization.² This widespread adoption has created a durable and well-established precedent for state-level policy experimentation in the face of federal intransigence.¹³ The federal government, for its part, has largely adopted a posture of benign neglect, and Congress has even passed appropriations riders, such as the Rohrabacher–Farr Amendment, that explicitly limit the use of federal funds to prosecute state-legal medical cannabis activities.² This history demonstrates that the federalist system, even under strain, can work as intended, allowing states to serve as "laboratories of democracy".¹² For the Pennsylvania legislature, this means that a vote for legalization is more than a decision about drug policy; it is a vote to reaffirm the principles of federalism. It is a declaration that the Commonwealth is best positioned to determine the most effective and just policies for its own citizens. This reframing is essential, as it moves the debate from a narrow focus on a single substance to a broader, more profound defense of states' rights and constitutional governance. The federal-state tension over cannabis policy is not merely a legal curiosity; it is a critical test case for the future of American federalism. A successful assertion of state authority in this domain could serve as a vital precedent, empowering Pennsylvania to resist federal overreach in other policy areas, such as firearms regulation, education, and environmental policy, where federal mandates may conflict with the interests and values of the Commonwealth.¹

Section II: Designing a Pro-Growth Regulatory Framework: Lessons in Good Governance

Having established Pennsylvania's constitutional authority to act, the focus must shift from *whether* to legalize to *how* to legalize. The success or failure of this policy initiative will be determined by the design of its regulatory and market structure. A framework grounded in principles of free markets, limited government, and economic liberty is not only ideologically consistent but also the most practical and effective means of achieving the primary goals of legalization: displacing the illicit market, ensuring consumer safety, and fostering a dynamic and competitive new industry. The experiences of other states provide a clear roadmap of both successful strategies and avoidable pitfalls.

2.1 Learning from Failure: The Pitfalls of Over-Regulation in California and New York

The most important lessons in cannabis regulation often come from observing the policy failures of other states. California and New York, in particular, serve as critical cautionary tales, demonstrating how a well-intentioned policy can be crippled by a poorly designed regulatory and tax framework. Both states adopted high-tax, high-regulation models that have effectively strangled the legal market in its infancy.⁴

In these states, a combination of excessive tax rates, complex and overlapping regulations, and severe restrictions on licensing have created immense barriers to entry and operation for legal businesses. The consequence is that legal cannabis products are often double or triple the price of their illicit counterparts.⁴ This price disparity has ensured the persistence and even the flourishing of the very black market that legalization was intended to eliminate. In California, the illegal market is estimated to be twice the size of the legal one, a direct and predictable outcome of government-imposed burdens, not an inherent failure of the concept of legalization itself.⁴ When governments erect regulatory barriers that make it impossible for legal businesses to compete on price, accessibility, or convenience, they are not regulating

a market; they are perpetuating an illicit one.

2.2 The Dangers of Restrictive Licensing: A Recipe for Cronyism and Corruption

Perhaps the most pernicious feature of the failed regulatory models is the use of arbitrary caps on the number of business licenses. This policy, often justified under the guise of "local control" or preventing market saturation, is in practice a mechanism for government-sponsored cronyism and corruption. By creating an artificial scarcity of licenses, the government transforms them from simple permits to operate into multi-million dollar assets.³

This structure fundamentally corrupts the role of government. It turns public officials into gatekeepers who hold the power to award immensely valuable economic privileges. The result, as documented by the FBI and investigative journalists, is a system ripe for bribery, conflicts of interest, and backroom deals.³ Instead of fostering a dynamic market open to all, it creates a "legal license cartel" that benefits only the politically connected and the already wealthy, effectively shutting out the small businesses and local entrepreneurs who are best positioned to serve their communities.³ This is not a failure of regulation; it is a failure of governance that undermines public trust and betrays free-market principles. The debate should not be about how to award a limited number of licenses in a "fair" way, but rather why licenses are being limited at all. The answer is that such limits serve the interests of a select few, not the public good.

2.3 A Pennsylvania Model for Economic Liberty: The Free-Market Approach

Pennsylvania has the opportunity to learn from these mistakes and implement a model that champions economic liberty and effective governance. The guiding principle should be one of minimal government intervention, with regulations strictly limited to the protection of public health and safety.

A sound regulatory framework for Pennsylvania would include:

- **Age Verification:** Robust and strictly enforced requirements to

ensure that cannabis products are not sold to individuals under the age of 21.

- **Product Testing:** Mandatory, independent laboratory testing for all products to verify potency and screen for contaminants such as pesticides, heavy metals, and mold.
- **Labeling Standards:** Clear and accurate labeling requirements that inform consumers about product potency, ingredients, and serving sizes.³

Beyond these essential health and safety functions, the government should adopt a posture of permissionless innovation. There should be no arbitrary caps on the number of cultivators, processors, distributors, or retailers. Any entrepreneur who can meet the baseline health and safety criteria should be granted a license to operate. This open-licensing approach ensures that competition happens in the marketplace, driven by quality and price, not in the halls of government, driven by political influence.³ The ultimate goal is to create a regulatory environment where legal businesses have every opportunity to directly compete with and ultimately displace the illicit market by offering consumers a safer, more reliable, and more convenient product.²

2.4 The Intoxicating Hemp Problem: The Case for a Unified Regulatory Framework

A critical and often overlooked flaw in state legalization efforts is the failure to address the parallel market for intoxicating hemp-derived cannabinoids, such as Delta-8 THC. The federal government's incoherent policy—legalizing hemp while maintaining the prohibition on marijuana—has created a dangerous regulatory loophole. This has led to a booming gray market for intoxicating products that are often produced without oversight, sold without testing, and marketed in ways that appeal to youth.²

This situation demonstrates a fundamental economic principle: markets will always find a way to meet consumer demand. The choice for legislators is not *if* an intoxicating cannabis market will exist in Pennsylvania, but whether that market will be a single, legal, regulated, and taxed system, or a chaotic and bifurcated one composed of a highly regulated marijuana market and a dangerous, untaxed gray market for

hemp-derived products.

A comprehensive and effective legalization plan for Pennsylvania *must* close this loophole. The only rational approach is to create a single, consistent regulatory and tax framework for *all* intoxicating cannabis products, regardless of their botanical source.²⁰ This means that any product containing a significant level of intoxicating cannabinoids, whether Delta-9 THC from marijuana or Delta-8 THC from hemp, must be subject to the same rigorous standards for testing, labeling, packaging, and age-gating.²⁰ Enacting such a unified framework is not a minor detail; it is essential for protecting public health, ensuring a level playing field for all businesses, and creating a coherent and governable market. Any legalization bill that fails to address the intoxicating hemp issue is fundamentally incomplete and will fail to solve the core problem of an unsafe, unregulated market.

Section III: A Sound Fiscal Foundation: The Economics of Cannabis Taxation

The design of a cannabis tax regime is one of the most critical components of a successful legalization framework. A poorly structured or excessively high tax system can single-handedly undermine all other policy goals by ensuring the illicit market remains the more attractive option for consumers. Conversely, a sound fiscal policy, grounded in economic principles and focused on the primary objective of market transition, can provide a stable foundation for a legal, safe, and prosperous cannabis industry in Pennsylvania.

3.1 The Primary Goal of Taxation: Displacing the Illicit Market

Legislators and the public are often drawn to legalization by the promise of a new stream of tax revenue. While a legal market will certainly generate revenue, treating it primarily as a fiscal windfall to be maximized is a self-defeating strategy. The central, non-negotiable goal of any cannabis tax policy must be to displace the illicit market. This can only be achieved if tax rates are set low enough to allow legal products to achieve price parity with, or ideally be cheaper than, their illegal counterparts.⁶

The experiences of other states are unambiguous on this point. High "sin taxes" are the single greatest factor keeping the black market alive and well in jurisdictions that have legalized.⁴ In California, where combined state and local taxes can approach 40%, illegal sales continue to dwarf legal ones.⁴ This leads to underwhelming tax revenues, as a large portion of the market remains untaxed, and it fails to address the public safety harms associated with a criminal enterprise.¹⁴ A more prudent and effective approach is to base tax rates not on the desire to fund unrelated government programs, but on the actual cost of regulating the cannabis industry itself.²² The primary benefit of legalization is the transition of an entire industry from the shadows into a regulated system; tax revenue is a secondary, albeit important, consequence of that successful transition.

3.2 Understanding the Total Burden: Explicit and Implicit Taxes

A sophisticated approach to fiscal policy requires an understanding of the total government-imposed cost burden on an industry, which extends beyond the explicit tax rate. Burdensome regulations, complex licensing procedures, and restrictions on competition act as a powerful "implicit tax" by artificially inflating the costs of doing business and, consequently, the final price for consumers.²⁵

This holistic view is essential for effective policymaking. A state could enact a seemingly low tax rate, but if its regulatory structure is so onerous that it drives up operating costs, the legal market will still be uncompetitive. A detailed analysis of Washington State's market provides a stark illustration of this dynamic. While the state's explicit excise tax was 37%, researchers calculated that the combination of this tax with the state's regulatory policies created a total implicit tax burden of 63%.²⁵ For Pennsylvania to succeed, its policy framework must be designed to minimize both explicit and implicit taxes, ensuring that the total cost of legal operation does not create an insurmountable price advantage for the illicit market.

3.3 Choosing the Right Tax Structure: A Pragmatic Approach

Beyond the tax rate, the structure of the tax itself has significant implications for market stability, administrative simplicity, and economic efficiency. There are three primary models for cannabis taxation, each with distinct advantages and disadvantages:

1. **Ad Valorem (Percentage-of-Price) Tax:** This is the most common model, similar to a standard sales tax. Its primary advantage is administrative simplicity, as it can be integrated into existing tax collection systems. However, it can lead to volatile and unpredictable revenue streams, as tax collections will rise and fall with the market price of cannabis, which can fluctuate significantly in a new market.⁶
2. **Weight-Based Tax:** This model taxes cannabis based on its weight (e.g., per ounce of flower). It provides a more stable and predictable source of revenue than an ad valorem tax because it is not tied to price fluctuations. Its main drawback is that it does not account for potency; a low-THC product is taxed at the same rate as a high-THC product, which may not align with public health goals.²⁶
3. **Potency-Based Tax:** This model taxes cannabis based on its THC content (e.g., per milligram of THC). From a theoretical standpoint, this is the most economically efficient approach, as it directly targets the psychoactive component responsible for the product's social costs. However, it is the most complex and costly to administer, requiring sophisticated and expensive testing infrastructure that may not be practical in the early stages of a legal market.⁶

Recommendation for Pennsylvania: The choice of tax structure is a reflection of a government's priorities. A complex, multi-layered system with taxes at the cultivation, wholesale, and retail levels signals a focus on revenue extraction at the expense of market efficiency. Such systems are non-transparent to consumers and create perverse economic incentives, such as inefficient vertical integration to avoid wholesale taxes.²²

For Pennsylvania, the most effective and pragmatic approach is to implement a **single, simple, and low-rate retail excise tax (ad valorem)**. This structure is transparent, easy to administer, and avoids

the market distortions inherent in wholesale or cultivation taxes.²² While a potency-based tax may be a worthy long-term goal as the market matures and testing technology becomes more affordable, the immediate priority must be to establish a tax system that is simple, predictable, and allows the legal market to win on price.

The following table provides a comparative analysis of tax regimes in several states, illustrating the clear correlation between high, complex tax structures and the persistence of a large illicit market.

Table 1: Comparative Analysis of State Cannabis Tax Regimes and Illicit Market Persistence

State	Tax Structure	Effective Tax Rate (State + Avg. Local)	Estimated Illicit Market Share (%)	Key Regulatory Features
California	Retail Excise (15%), Cultivation (eliminated 2022), State Sales Tax, Local Taxes	30% - 45% +	~50% - 66%	Local Opt-Out, Restrictive Licensing in many jurisdictions
New York	Retail Excise (9%), Wholesale (potency-based), Local Excise (4%)	~18% - 20%+	>50%	Restrictive Licensing, Slow Rollout

Colorado	Retail Excise (15%), State Sales Tax (2.9%), Local Taxes	~20% - 25%	<20%	Mature Market, Open Licensing
Washington	Retail Excise (37%)	37%	<25%	Mature Market, Initially Restrictive Licensing
Oregon	Retail Excise (17%), Local Tax (up to 3%)	17% - 20%	~30%	Open Licensing, Oversupply Issues
Massachusetts	Retail Excise (10.75%), State Sales Tax (6.25%), Local Tax (up to 3%)	20%	~40% - 50%	Local Opt-Out, Restrictive Licensing

Note: Effective tax rates and illicit market shares are estimates based on available data and can vary. Sources:²

This data provides a clear lesson for Pennsylvania: states with simpler tax structures and more competitive rates, like Colorado, have been far more successful at absorbing the illicit market than states with high, multi-layered tax and regulatory burdens, like California and New York.

Section IV: Advancing Public Safety and Justice: The Social Benefits of Legalization

The debate over cannabis legalization is often dominated by concerns about potential negative impacts on public safety and social order. However, a growing body of empirical evidence from states that have

legalized suggests that these fears are largely overstated.³⁰ More importantly, this evidence reveals that a well-designed legalization framework is not a threat to public safety but is, in fact, a "smart on crime" policy that enhances police effectiveness, dismantles criminal enterprises, and restores justice for those harmed by decades of a failed prohibitionist policy.

4.1 Enhancing Police Effectiveness: Reallocating Resources to Serious Crime

One of the most compelling arguments for ending cannabis prohibition is the immense waste of law enforcement resources dedicated to its enforcement. Every hour a police officer spends investigating, arresting, or processing an individual for a low-level cannabis offense is an hour not spent investigating a burglary, a robbery, or a violent assault. Legalization allows for a critical reallocation of these scarce public safety resources.⁷

The data from Colorado and Washington, the first two states to legalize adult-use cannabis, is particularly instructive. A rigorous 2018 study published in *Police Quarterly* examined FBI crime data from 2010 to 2015 and found that after legalization, police clearance rates—the percentage of reported crimes that are solved by an arrest—increased significantly for both violent and property crimes.⁷ This provides strong empirical support for the long-held assertion that when police are no longer burdened with enforcing marijuana laws, they become more effective at solving the serious crimes that truly threaten community safety.⁷ This allows proponents of legalization to move beyond defensive arguments and proactively frame the policy as a tangible enhancement to public safety. Maintaining prohibition, in this light, actively harms public safety by continuing to misallocate police resources away from where they are most needed.

Beyond improving crime-solving efficacy, legalization also represents a significant expansion of individual liberty by reducing unnecessary and often contentious interactions between citizens and law enforcement. Data from Colorado and Washington show that traffic searches conducted by highway patrols dropped by nearly half following

legalization.³² This reduction in intrusive police searches is a direct and measurable benefit to the citizens of a free society.

Table 2: Impact of Legalization on Law Enforcement Metrics in Colorado and Washington

Metric	Pre-Legalization (Avg. 2010-2012)	Post-Legalization (Avg. 2013-2015)	Percentage Change
Marijuana Possession Arrests	Decreasing Trend	Sharp Decrease (~50%)	Significant Reduction
Highway Patrol Traffic Searches	Stable	Sharp Decrease (~45-50%)	Significant Reduction
Violent Crime Clearance Rate (%)	Declining Trend	Increased	Positive Shift
Property Crime Clearance Rate (%)	Declining Trend	Increased	Positive Shift
Burglary Clearance Rate (%)	Declining Trend	Dramatic Increase	Significant Improvement

Note: Data synthesized from findings reported in multiple studies. Specific percentages represent reported findings and overall trends.

Sources:..⁷

4.2 Legalization vs. Decriminalization: Why Half-Measures Fail

In the legislative process, compromise can be tempting, and some may view the decriminalization of cannabis possession as a politically safer "middle ground." However, a careful policy analysis reveals that decriminalization is a flawed, halfway measure that can inadvertently worsen the most significant harms of prohibition.³³

Decriminalization typically involves removing criminal penalties for the simple possession (the demand side) of small amounts of cannabis,

while leaving the production and sale (the supply side) of the substance illegal. This creates a deeply incoherent policy. It does nothing to eliminate the violent, underground market controlled by criminal organizations. In fact, by lowering the personal risk and "full price" for consumers, decriminalization can actually *increase* demand for cannabis. This increased demand is then met entirely by the illicit market, potentially expanding its size, profits, and associated violence and quality control problems.³³ The only clear benefit is that users no longer face criminal records, but the broader social harms of a thriving black market remain or even grow.

The experience of Portugal is often cited as a model for decriminalization, but its success is more complex. Portugal's policy was accompanied by a significant cultural and practical shift toward treating addiction as a public health issue, which included a de facto reduction in supply-side enforcement against users. This moved the policy closer to a form of regulated legalization in practice.³⁵ For Pennsylvania, the lesson is clear: full, regulated legalization of the entire supply chain is the only policy that truly dismantles the criminal enterprise and its attendant harms.³³ Presenting decriminalization as a potentially worse outcome than the status quo is a crucial strategic point, as it forces a clearer choice for legislators between maintaining a failed prohibition and adopting a comprehensive, market-based solution that addresses both supply and demand.

4.3 Restoring Justice and Expanding the Workforce: The Case for Automatic Expungement

A principled approach to legalization cannot ignore the immense and ongoing harm caused by decades of prohibition. A criminal record for a past cannabis offense, even a minor one, serves as a significant, often lifelong, government-imposed barrier to stable employment, safe housing, educational opportunities, and full participation in the economy.⁹ This is not only an injustice to the individual but also a detriment to the Commonwealth, as it limits the size and potential of the workforce and reduces the tax base.

Simply legalizing cannabis prospectively is insufficient. Justice demands

a remedy for the past harms of a failed policy. The most effective, efficient, and just way to provide this remedy is through the **automatic expungement** of all prior non-violent cannabis convictions that would be legal under the new framework.⁹

Relying on a petition-based system for record clearing has proven to be profoundly ineffective. Research shows that application rates are often in the single digits, even when a high percentage of petitions are granted. This is due to a variety of barriers, including lack of awareness, cost, and complex legal processes.⁹ An automated system, where the state takes on the responsibility of identifying and clearing eligible records, is the only way to ensure that the benefits of expungement reach everyone who is entitled to them.

This is not merely a social justice issue; it is a pro-growth, pro-work economic policy. Rigorous research has demonstrated that expungement leads to significant increases in both employment and wages for recipients. Furthermore, individuals who receive expungement have been shown to have very low rates of reoffending, suggesting that clearing their records allows them to become stable, productive members of society.⁹ For Pennsylvania, mandating automatic expungement is an essential component of any legalization bill, ensuring that the new policy not only creates future opportunities but also rectifies past injustices.

Section V: Actionable Policy Recommendations for the Pennsylvania General Assembly

This concluding section synthesizes the analysis and arguments presented in this report into a clear, actionable legislative blueprint. These recommendations are designed to provide the Pennsylvania General Assembly with the specific statutory components needed to implement a successful cannabis legalization framework grounded in the principles of federalism, free markets, and good governance.

5.1 Foundational Legislative Actions

- **Repeal State-Level Prohibitions:** Enact legislation to repeal all statutes in the Pennsylvania Crimes Code and The Controlled

Substance, Drug, Device and Cosmetic Act that impose criminal penalties for the possession, cultivation, processing, and sale of cannabis and cannabis products for adults aged 21 and over.

- **Affirm State Sovereignty:** Include a provision in the enabling statute that explicitly affirms, in accordance with the anti-commandeering doctrine of the U.S. Constitution, that no agency or personnel of the Commonwealth of Pennsylvania or any of its political subdivisions shall be compelled to assist in the enforcement of federal cannabis laws.¹

5.2 Establishing a Limited-Government Regulatory Body

- **Create a Single, Focused Authority:** Establish a new, independent state authority, such as the "Pennsylvania Cannabis Control Board," with a narrowly and explicitly defined mandate.
- **Limit the Mandate to Health and Safety:** The authority's functions should be statutorily limited to those essential for public health and safety. These functions include:
 - Issuing licenses to all qualified applicants who meet baseline criteria.
 - Establishing and enforcing standards for laboratory testing, product purity, and contaminant screening.
 - Developing and enforcing regulations for product packaging and labeling to ensure consumer information and prevent marketing to minors.
 - Enforcing the prohibition on sales to individuals under the age of 21.
- **Prohibit Economic Protectionism:** The statute should contain an explicit prohibition preventing the regulatory body from engaging in economic protectionism, limiting market competition, or capping the number of licenses issued.

5.3 Implementing a Pro-Competition Market Structure

- **Enact an Open Licensing System:** Legislate a transparent and open licensing system. Any individual or business that meets

reasonable and clearly defined safety, security, and background check requirements should be eligible to receive a license to cultivate, process, distribute, or sell cannabis.

- **Preserve Local Zoning, Prohibit Local Caps:** Prohibit municipalities from imposing arbitrary caps on the number of cannabis businesses permitted to operate within their jurisdictions. This preserves the traditional and legitimate local authority over zoning (e.g., time, place, and manner restrictions) while preventing the creation of local-level cartels and anti-competitive "cannabis deserts".³
- **Create a Unified Regulatory Framework:** Enact a single, consistent regulatory framework that applies equally to *all* intoxicating cannabinoid products sold in the Commonwealth, including those derived from hemp (e.g., Delta-8 THC). This is essential to eliminate the dangerous and unregulated gray market and ensure all intoxicating products meet the same safety standards.²⁰

5.4 Enacting a Sound and Simple Tax Policy

- **Implement a Single Retail Excise Tax:** Establish a single, statewide retail excise tax on all adult-use cannabis sales. Wholesale, cultivation, or potency-based taxes at the state level should be avoided to ensure simplicity, transparency, and minimal market distortion.²²
- **Set a Low Initial Tax Rate:** The initial retail excise tax rate should be set at a low level, for example, in the range of 5% to 10%, with the explicit statutory goal of displacing the illicit market by achieving price parity.⁴ The legislature can retain the authority to adjust this rate in the future based on market conditions and the success of the market transition.
- **Apply Standard Sales Taxes:** Allow for the application of Pennsylvania's standard state and applicable local sales taxes to cannabis products, in addition to the new excise tax.

5.5 Mandating Restorative Justice and Economic Opportunity

- **Require Automatic Expungement:** Pass legislation mandating the automatic expungement of all prior criminal records for convictions of non-violent cannabis offenses that would be legal under the new framework.
- **Automate the Process:** Direct the Administrative Office of Pennsylvania Courts, in collaboration with the Pennsylvania State Police and other relevant agencies, to develop and implement an automated process to identify all eligible records and grant expungement without requiring any petition, fee, or action from the affected individuals. This ensures the remedy is applied universally and efficiently.⁹

Works cited

1. Does Federal Law Actually Preempt Relaxed State Marijuana Laws ..., accessed October 21, 2025, <https://law.marquette.edu/facultyblog/2013/04/does-federal-law-actually-preempt-relaxed-state-marijuana-laws/>
2. Limiting Federal Regulation of Cannabis - Cato Institute, accessed October 21, 2025, <https://www.cato.org/regulation/fall-2023/limiting-federal-regulation-cannabis>
3. Marijuana Licensing Corruption | Cato at Liberty Blog - Cato Institute, accessed October 21, 2025, <https://www.cato.org/blog/marijuana-licensing-corruption>
4. Marijuana Taxes Keep Black Markets Thriving | Cato at Liberty Blog, accessed October 21, 2025, <https://www.cato.org/blog/marijuana-taxes-keep-black-markets-thriving>
5. Prioritize Marijuana Licenses for Past Offenders? No, Just Eliminate ..., accessed October 21, 2025, <https://www.cato.org/blog/prioritize-marijuana-licenses-past-offenders-no-just-eliminate-licenses>
6. Cannabis Tax Revenue & Nationwide Cannabis Tax Policy Blueprint, accessed October 21, 2025, <https://taxfoundation.org/research/all/state/cannabis-tax-revenue-reform/>
7. The Good Government Effects of Drug Legalization | Cato at Liberty ..., accessed October 21, 2025, <https://www.cato.org/blog/good-government-effects-drug-legalization>

8. Positive policing changes after cannabis legalization seen by WSU researchers, accessed October 21, 2025, <https://news.wsu.edu/press-release/2018/07/24/positive-policing-changes-after-cannabis-legalization/>
9. States Show How Criminal Justice Reform Can Help Millions of ..., accessed October 21, 2025, <https://www.cato.org/blog/states-show-how-criminal-justice-reform-can-help-millions-american-workers>
10. Criminal Justice | Cato Institute, accessed October 21, 2025, <https://www.cato.org/publications/facilitating-personal-improvement-criminal-justice>
11. The War on Drugs | Cato Institute, accessed October 21, 2025, <https://www.cato.org/cato-handbook-policymakers/cato-handbook-policymakers-9th-edition-2022/war-drugs>
12. Marijuana Federalism: Uncle Sam and Mary Jane - Cato Institute, accessed October 21, 2025, <https://www.cato.org/multimedia/events/marijuana-federalism-uncle-sam-mary-jane>
13. Marijuana Federalism Can Work in South Dakota Too | Cato at Liberty Blog, accessed October 21, 2025, <https://www.cato.org/blog/marijuana-federalism-can-work-south-dakota-too>
14. Taxes, Regulations, and Small Business in California's Marijuana ..., accessed October 21, 2025, <https://www.cato.org/blog/taxes-regulations-small-business-californias-marijuana-industry>
15. Getting It Half-Baked: The Real Cause of Cannabis Market Failures | Cato at Liberty Blog, accessed October 21, 2025, <https://www.cato.org/blog/getting-it-half-baked-real-cause-cannabis-market-failures>
16. Marijuana, Taxation, and Unintended Consequences | Cato at Liberty Blog, accessed October 21, 2025, <https://www.cato.org/blog/marijuana-taxation-unintended-consequences>
17. Chris Edwards' blog post, "Marijuana Licensing Corruption," is cited on WGTK's The Andrew Cooperrider Show | Cato Institute, accessed October 21, 2025, <https://www.cato.org/multimedia/media-highlights-radio/chris-edwards-blog-post-marijuana-licensing-corruption-cited-wgtks-andrew>
18. Intoxicating Hemp | Moritz College of Law - The Ohio State

University, accessed October 21, 2025, <https://moritzlaw.osu.edu/faculty-and-research/drug-enforcement-and-policy-center/research-and-grants/policy-and-data-analyses/intoxicating-hemp>

19. Regulated Cannabis Has a Hemp Problem - Network for Public Health Law, accessed October 21, 2025, <https://www.networkforphl.org/news-insights/regulated-cannabis-has-a-hemp-problem/>
20. A framework for federal and state hemp-derived cannabinoid ..., accessed October 21, 2025, <https://reason.org/wp-content/uploads/framework-federal-state-hemp-derived-cannabinoid-regulation.pdf>
21. A framework for federal and state hemp-derived cannabinoid regulation, accessed October 21, 2025, <https://reason.org/policy-brief/a-framework-for-federal-and-state-hemp-derived-cannabinoid-regulation/>
22. Marijuana Taxation and Black Market Crowd-Out - Reason Foundation, accessed October 21, 2025, <https://reason.org/wp-content/uploads/marijuana-taxation-black-market-crowd-out.pdf>
23. Marijuana rescheduling is good news, but California still needs to reduce state taxes and regulations - Reason Foundation, accessed October 21, 2025, <https://reason.org/commentary/marijuana-rescheduling-is-good-news-but-california-still-needs-to-reduce-state-taxes-and-regulations/>
24. Snatching Defeat from the Jaws of Victory | Cato at Liberty Blog, accessed October 21, 2025, <https://www.cato.org/blog/snatching-defeat-jaws-victory>
25. Implications of Cannabis Legalization for the US Federal Budget | Cato Institute, accessed October 21, 2025, <https://www.cato.org/research-briefs-economic-policy/implications-cannabis-legalization-us-federal-budget>
26. How High? Adjusting California's Cannabis Taxes - Legislative Analyst's Office, accessed October 21, 2025, <https://lao.ca.gov/Publications/Report/4125>
27. Recreational Marijuana Taxes by State, 2025 - Tax Foundation, accessed October 21, 2025, <https://taxfoundation.org/data/all/>

[state/recreational-marijuana-taxes/](#)

28. Nevada Assembly Bill 307 would change how cannabis is taxed - Reason Foundation, accessed October 21, 2025, <https://reason.org/testimony/nevada-assembly-bill-307-would-change-how-cannabis-is-taxed/>
 29. California should eliminate the cannabis cultivation tax and reduce the retail excise tax, accessed October 21, 2025, <https://reason.org/commentary/california-should-eliminate-the-cannabis-cultivation-tax-and-reduce-the-retail-excise-tax/>
 30. The Effect of State Marijuana Legalizations: 2021 Update | Cato Institute, accessed October 21, 2025, <https://www.cato.org/policy-analysis/effect-state-marijuana-legalizations-2021-update>
 31. Colorado and Washington: Life After Legalization and Regulation, accessed October 21, 2025, <https://www.mpp.org/issues/legalization/colorado-and-washington-life-after-legalization-and-regulation/>
 32. Marijuana Legalization Reduces Police Searches | Cato at Liberty Blog, accessed October 21, 2025, <https://www.cato.org/blog/marijuana-legalization-reduces-police-searches>
 33. Decriminalization vs. Legalization | Cato at Liberty Blog - Cato Institute, accessed October 21, 2025, <https://www.cato.org/blog/decriminalization-vs-legalization>
 34. The Pros and Cons of Decriminalization | Cato at Liberty Blog, accessed October 21, 2025, <https://www.cato.org/blog/pros-cons-decriminalization>
 35. Drug Decriminalization Policy Pays Off | Cato Institute, accessed October 21, 2025, <https://www.cato.org/commentary/drug-decriminalization-policy-pays>
 36. Drug Decriminalization in Portugal: Lessons for Creating Fair and Successful Drug Policies, accessed October 21, 2025, <https://www.cato.org/white-paper/drug-decriminalization-portugal-lessons-creating-fair-successful-drug-policies>
- Labor Market Impacts of Reducing Felony Convictions - Cato Institute, accessed October 21, 2025, <https://www.cato.org/research-briefs-economic-policy/labor-market-impacts-reducing-felony-convictions>

After Prohibition: A Treatise on Liberty, Markets, and the Future of Cannabis

By Daniel Hughes

Introduction: Beyond Repeal - The Principles of a Free Market in Cannabis

This treatise begins where the argument for repeal ends. The moral, economic, and constitutional case against the federal prohibition of cannabis is now so overwhelming that its eventual demise appears inevitable.¹ A vast majority of states have already charted their own course, repudiating the federal government's failed century-long experiment in coercion.¹ Yet, the end of prohibition is not an end in itself; it is merely the beginning of a new and far more complex challenge. Having established the bankruptcy of the old regime, the urgent task is to construct a post-prohibition framework that is consistent with the very principles of liberty that animated the call for repeal.

This requires moving beyond the simple act of legalization to the far more difficult task of championing a system of free and open markets governed by the rule of law. The analysis herein will be guided by a steadfast commitment to the foundational principles of a free society: individual liberty, limited government, free markets, and peace.² The greatest threats to a successful post-prohibition era are not inherent in the cannabis plant itself, but in the predictable pathologies of government intervention that follow in prohibition's wake. These pathologies include rent-seeking by politically connected firms, the capture of regulatory agencies by the industries they oversee, and the creation of artificial scarcities that benefit a privileged few at the expense of consumers, entrepreneurs, and the very communities most harmed by the war on drugs.

The history of state-level legalization to date is a cautionary tale. It is a story of how the promise of open markets can be corrupted into a

system of crony capitalism, where the state replaces criminal prohibition with a byzantine system of regulations, taxes, and licensing schemes that perpetuate many of the harms of the old order. This treatise will first diagnose these dangers, demonstrating how arbitrary license caps, punitive taxation, and discretionary permitting have created "legal license cartels" that stifle competition and fuel the very illicit market they were meant to displace.

It will then prescribe a principled framework for a truly free market. This framework is built upon the pillars of open market entry through non-discretionary licensing, a rational and limited system of taxation designed to fund regulation rather than to plunder an industry, and the constitutional imperative of interstate commerce to create a vibrant national market. Finally, this document will address the profound injustices of the prohibition era, offering a market-based approach to restorative justice that focuses on removing state-imposed barriers rather than engaging in failed social engineering. It will conclude by articulating a vision for a society that relies on individual responsibility and the institutions of civil society, not state coercion, to address the challenges of substance use. This is the blueprint for ensuring that the end of cannabis prohibition becomes a genuine victory for liberty, not merely an exchange of one form of state control for another.

Chapter 1: The Specter of the State - Avoiding the Pitfalls of Cronyism and Capture

Legalization is not synonymous with free markets. The default path of government regulation, as demonstrated by the early state-level experiments with cannabis, leads directly to cronyism, corruption, and the perpetuation of the very harms legalization was meant to solve. Before constructing a principled alternative, it is crucial to understand the nature of the threat. The primary obstacle to a successful post-prohibition market is not the product, but the state's proclivity to create and distribute economic privilege, thereby replacing an illicit market with a cartelized one.

1.1 The Creation of the "Legal License Cartel"

The most pernicious feature of early state legalization efforts is the

imposition of arbitrary and restrictive caps on the number of available business licenses. This policy, often justified by vague appeals to public safety or market control, does not eliminate the market; it merely grants a monopoly or oligopoly to a select few. These licenses, rendered artificially scarce by government fiat, are transformed into "tremendously valuable commodities," with some being valued in the millions of dollars.³ This dynamic creates what can only be described as a "legal license cartel," where the primary business is not serving consumers through competition and innovation, but leveraging state-granted privilege.³

The state of California provides a stark example of this phenomenon. Despite voters legalizing recreational cannabis, nearly 80% of the state's cities and counties have banned cannabis retailers, and many of those that do permit them have set arbitrary limits on the number of licenses.³ The result is a market where only the "most wealthy and well-connected business owners are able to obtain permits, whether by playing within the rules or by backroom deals".³ This artificial scarcity is the root cause of the corruption that has plagued the industry. The Federal Bureau of Investigation (FBI) has explicitly warned that state licensing requirements open "the possibility for public officials to become susceptible to bribes in exchange for those licenses".³ This is not a hypothetical risk; it is a predictable and observed outcome when government creates a choke point in a burgeoning industry. This dynamic is not unique to California; similar problems of corruption and cronyism stemming from limited licensing have been observed in states like Massachusetts and Virginia.³

The core issue is that the state has taken upon itself the role of central planner, deciding how many businesses an industry can sustain. This is a role for which government is uniquely unsuited. The decision to restrict licenses to a small number is not based on real consumer demand but on political expediency, creating a system where the primary competition is for political favor, not for consumer patronage.

1.2 Fueling the Illicit Market: The Perverse Effects of High Barriers and Taxes

A primary objective of legalization is to transition consumers and

suppliers from the dangerous, untaxed illicit market to a safe, regulated, and taxed one. Yet, state policies have actively and systematically undermined this goal. By imposing steep excise taxes, sometimes hovering over 30%, and layering them on top of already high regulatory compliance costs, states raise the price of legal cannabis far above its illicit market equivalent.¹ This price disparity ensures the continued vibrancy of the black market. Research consistently shows that consumers are highly sensitive to the price of legal cannabis, and even slight increases can nudge them back into the illicit market where prices are lower.⁴

This problem is compounded by the federal government's punitive tax treatment of the industry. Under Section 280E of the Internal Revenue Code, state-legal cannabis businesses are disallowed from taking ordinary business deductions, forcing them to pay taxes on their gross profits. This can result in an effective tax rate that exceeds 70%.¹ When these federal tax burdens are combined with high state and local excise and sales taxes, it becomes functionally impossible for legal operators to compete with the illicit market on price.

The persistence of the black market is, therefore, not an accident but a direct and foreseeable consequence of policy choices. When legal cannabis is hobbled by excessive taxation and restrictive regulations, the illicit market thrives. As the actor Seth Rogen astutely observed in his critique of Canada's heavily regulated market, if the legal system makes it too difficult and expensive, consumers will simply remain with their existing illicit suppliers.³ Legalization fails in its most basic objective when it cannot outcompete its illegal predecessor. Merely passing a law that legalizes cannabis is insufficient; the legal framework must actively support the transition into a market that can compete with, and ultimately absorb, the existing illicit market.¹

1.3 Regulatory Capture: When the Regulators Serve the Regulated

The creation of a cartelized market through limited licensing leads inevitably to the phenomenon of regulatory capture. Capture arises when a government agency, created to act in the public interest, instead advances the commercial or special interests of the very industry it is charged with regulating.⁷ In the context of cannabis, this manifests

when the initial group of incumbent license holders—who have paid millions for their state-granted privilege—lobby the regulatory agency to erect further barriers to entry for any potential new competitors. Complex and costly regulations, high capital requirements, and discretionary approval processes all become tools of capture. They favor established, well-capitalized players who can afford armies of lawyers and lobbyists to navigate the bureaucratic maze they helped create. The use of politically appointed boards to regulate the cannabis industry, a model adopted by several early-legalizing states, is a recipe for this kind of capture and inefficiency. Such boards, meeting infrequently and composed of individuals with political connections, are prone to "allegations of favoritism, and even instances of outright corruption".⁸

The experience of Michigan provides a clear lesson in how to mitigate this risk. After initially relying on a governing board, the state eliminated it and consolidated regulatory powers within a new agency staffed by civil servants who were required to adhere to prescribed rules. The result was a doubling of the speed with which license applications were processed.⁸ This demonstrates the vast superiority of a lean, rule-bound, non-discretionary system over a discretionary, political one. The goal should be to create a regulatory body with a minimal and clearly defined mission, insulating it as much as possible from the political pressures that lead to capture.

The interconnectedness of these problems cannot be overstated. They are not separate issues but are cascading symptoms of a single root cause: the creation of artificial scarcity and discretionary power by the state. The policy of capping licenses directly creates the conditions for bribery by making each license immensely valuable. This limitation on legal supply, combined with high taxes, directly causes the high prices that guarantee the persistence of the illicit market. Finally, the incumbent licensees, in an effort to protect their valuable and artificially scarce asset, have a powerful incentive to lobby the regulatory agency to create more barriers to entry, thus completing the vicious cycle of regulatory capture.

1.4 A Prophylactic Against Capture: The Sunset Review Process

To prevent the long-term ossification of regulatory agencies and their

inevitable capture by incumbent interests, states must build in a mechanism for periodic review, justification, and potential termination. The "sunset review" process, used effectively in states like Texas and Colorado, provides such a mechanism.⁹ This process establishes a statutory expiration date for regulatory agencies and their rules, typically every 5 to 12 years. This forces the legislature to proactively evaluate the agency's performance, necessity, and cost-effectiveness, rather than allowing it to exist in perpetuity through bureaucratic inertia.⁹

A sunset review for a state cannabis agency would be a systematic, public process. It would begin with a self-evaluation by the agency, followed by an independent staff review that includes extensive research and public input.⁹ The review would be guided by a set of critical questions: Is this regulation still necessary to protect public health and safety? Have market conditions changed since the regulation was enacted? Is this the least restrictive means of achieving the stated public policy goal?¹¹ Following public hearings, the legislature would then have to pass a new bill to continue, amend, or abolish the agency and its functions.⁹ If no action is taken, the agency is "sunsetting" and ceases to exist.

This process creates a powerful check on bureaucratic growth and regulatory capture. It shifts the default from permanence to termination, forcing regulators and the industries that benefit from their rules to repeatedly justify their existence in the public interest. The very act of designing a "perfect" regulatory system from the top down is an exercise in futility, as it presumes a level of knowledge and benevolence that government actors do not possess. A more effective long-term strategy is not to create a "better" regulator, but to design a system that minimizes the *need* for regulation in the first place and builds in mechanisms like sunset reviews to constantly question and dismantle the regulatory state itself. This represents a fundamental shift from a static view of "good regulation" to a dynamic and necessary process of "constant de-regulation."

Chapter 2: The Right to Enter - A Framework for Open and Competitive Markets

The antidote to the cronyism, corruption, and market distortions detailed in the previous chapter is a radical simplification of market entry. This simplification must be grounded in the fundamental right of individuals to earn an honest living, free from arbitrary government interference. In a post-prohibition world, the government's role is not to be a gatekeeper, centrally planning an industry and picking winners and losers. Its proper and sole function is to act as a simple registrar, ensuring that businesses meet basic, objective standards designed to protect public health and safety.

2.1 From Discretion to Ministerial Process: The "Shall-Issue" Imperative

The single most important reform for any state cannabis market is to strip the licensing process of all discretionary power. States must abolish their competitive, "merit-based" application systems and adopt a purely ministerial or "shall-issue" process.⁸ Under such a system, a license is granted to any and all applicants who meet a clear, predetermined, and objective set of criteria. These criteria should be strictly limited to legitimate public health and safety concerns, such as requiring background checks for violent criminal offenses or ensuring that facilities adhere to standard building and safety codes.

This approach eliminates the subjective judgments that invite corruption, bias, and political favoritism. When bureaucrats or political appointees are empowered to decide which business plan is "better" or which applicant is more "deserving," the process inevitably becomes a contest of political influence rather than entrepreneurial merit. A ministerial process, by contrast, embodies the rule of law: the rules are known in advance and are applied equally to all, without regard to the identity or connections of the applicant.

Furthermore, states must be vigilant in rooting out discretionary barriers that masquerade as neutral regulations. In California, for example, the California Environmental Quality Act (CEQA) has been weaponized by "Not-in-My-Back-Yard" (NIMBY) activists and, more insidiously, by existing businesses to challenge and delay the projects of new competitors.¹³ While environmental protection is a legitimate concern, such laws become tools of anti-competitive obstruction when they

involve a discretionary approval process. The goal must be a system where compliance is a matter of meeting objective standards, not surviving a subjective and politicized review.

2.2 Abolishing Arbitrary License Caps and Fees

As established in Chapter 1, there is no sound economic or public safety justification for capping the number of cannabis businesses. Such caps are the primary driver of corruption and the creation of cartels. The "best regulator of supply is natural consumer demand," not a government agency that is "poorly positioned to coordinate supply and demand" and whose attempts to forecast market needs have been "radically inaccurate".⁸ Therefore, all numerical caps on the quantity of cannabis business licenses must be abolished. The market, and the market alone, should determine how many cultivators, manufacturers, and retailers can be sustained.

Similarly, licensing fees must be rationalized. The purpose of a fee should be to cover the administrative costs of the registration program itself, and nothing more. Using exorbitant fees as a barrier to entry for less-capitalized entrepreneurs or as a backdoor source of general revenue is an illegitimate use of the state's regulatory power.⁸ The state of Minnesota's proposal to charge a mere \$250 nonrefundable application fee with no other licensing fees stands as a national model for removing financial barriers to market entry.⁸ This approach makes the legal market accessible to a broad range of entrepreneurs, not just those with access to deep-pocketed investors, fostering a more dynamic and competitive industry.

2.3 Cannabis Licensing as Occupational Licensing Reform

The struggle for open and competitive cannabis markets should be understood as a specific application of the broader, decades-long fight against burdensome occupational licensing. For generations, special interests have used the power of the state to create licensing regimes that serve to restrict entry into their professions, thereby limiting competition and inflating their own wages at the expense of consumers and aspiring workers.

Multiple decades of empirical research have demonstrated the clear and

far-reaching economic harms of this practice. Occupational licensing requirements restrict the labor supply, increase consumer prices, and reduce business starts and employment, with the burden falling disproportionately on low-income and low-skilled populations.¹⁴ These laws inhibit geographic mobility, as licenses often do not transfer between states, and they create significant barriers for individuals with past criminal convictions who are trying to reintegrate into the workforce.¹⁴ Despite these significant costs, most research finds little to no evidence that licensing improves the quality or safety of services for consumers.¹⁵

States should therefore treat cannabis licensing not as a unique privilege to be granted, but as one of the approximately 1,100 occupations that are often needlessly licensed.¹⁵ The policy solutions are the same as those advocated by reformers across the political spectrum: repeal unnecessary licensing requirements, perform rigorous cost-benefit analyses on all existing rules, and default to the least restrictive form of regulation necessary to address a demonstrated threat to public health and safety.¹⁵

An open, ministerial licensing system is, in fact, the single most effective "social equity" program possible. Many current government-led equity programs are destined to fail because they attempt to layer complex preferences and subsidies onto an already restrictive, expensive, and discretionary licensing system. The true barrier for legacy operators and entrepreneurs from disadvantaged communities is not a lack of special government assistance, but rather the presence of massive upfront capital requirements, byzantine application processes, and the need for political connections—all of which are the direct products of the capped, competitive systems that a ministerial process would replace. By making market entry as close to free as possible for everyone, the state allows entrepreneurs to succeed or fail based on their business acumen and ability to serve consumers, not on their access to capital or political favor.

Ultimately, the debate over cannabis licensing is a proxy for a more fundamental debate about the nature of economic freedom. The advocacy for a simple, open registration system is a reassertion of the classical liberal view that commerce is a natural right, and the burden of proof is always on the government to justify any restriction upon it. This

stands in stark contrast to the progressive view that commerce is a privilege granted by the state and is therefore subject to extensive social planning and control. Winning the argument for free markets in cannabis is a crucial step toward restoring the proper relationship between the individual and the state in the broader economic sphere.

Chapter 3: Taxation Without Strangulation - Funding Government Without Killing the Market

The power to tax is the power to destroy. In no industry is this axiom more relevant than in the nascent legal cannabis market, which faces a unique and existential threat from a deeply entrenched, untaxed illicit competitor. Therefore, any system of cannabis taxation must adhere to the sound principles of public finance: taxes should be low, simple, neutral, and transparent. Their primary purpose should be to internalize the direct societal costs of consumption—the classic justification for an excise tax—and to fund the minimal regulatory apparatus necessary to oversee the market. The temptation to view cannabis as a "potential gold mine for tax revenue" for unrelated government projects must be resisted, as this approach is economically unsound and ultimately counterproductive to the goal of market transition.¹⁶

3.1 Choosing the Right Tax Base: Price vs. Weight vs. Potency

States that have legalized cannabis have experimented with three main tax structures, each with distinct advantages and disadvantages.¹⁷

- 1. Ad Valorem (Price-Based) Tax:** This is a tax levied as a percentage of the product's price, similar to a standard sales tax. Its primary advantage is administrative simplicity.¹⁷ However, it has significant drawbacks. It creates highly volatile revenue streams, as cannabis prices are known to fluctuate dramatically, especially in new markets.¹⁷ More fundamentally, it fails to target the actual source of any potential social harm. As the Tax Foundation notes, an edible THC chocolate bar does not become more or less harmful based on the quality and price of the chocolate used.¹⁹ Taxing by price is an arbitrary and imprecise instrument.

2. **Weight-Based Tax:** This is a tax levied on the weight of the cannabis product (e.g., dollars per ounce of flower). This method produces far more stable revenue than an ad valorem tax because weight is a constant measure, unlike price.¹⁷ However, it is a crude instrument because it does not account for the potency of the product. Under a simple weight-based system, a pound of low-THC trim would be taxed at the same rate as a pound of high-THC flower, despite the vast difference in their intoxicating potential.¹⁷
3. **Potency-Based (THC-Based) Tax:** This is a tax levied directly on the quantity of the primary psychoactive compound, tetrahydrocannabinol (THC), typically measured in milligrams. This is the most theoretically sound approach to an excise tax, as it "most directly target[s] the harm-causing element" of the product—intoxication.¹⁷ This aligns the tax with the "harm principle" and creates a rational incentive for consumers to shift toward lower-potency products, fostering a culture of moderation.¹⁹ It ensures that products with a similar harm profile are taxed at similar rates, which is the most equitable approach.¹⁹

While a potency-based tax is the ideal long-term solution, its implementation faces near-term challenges, most notably the need for reliable, standardized, and affordable testing technology to accurately measure THC content in all product types.¹⁹ Therefore, a phased approach is the most prudent path forward. Initially, states should adopt a simple, low-rate **weight-based tax** to ensure revenue stability and administrative feasibility. Concurrently, they should work with industry stakeholders and regulatory bodies to establish robust standards for laboratory proficiency. As testing technology becomes more reliable and cost-effective, states should then transition to a more precise **potency-based (per-milligram of THC) tax**.¹⁷

The choice of tax base has profound implications for market structure and consumer behavior. An ad valorem tax, by linking the tax to price, incentivizes a "race to the bottom" on quality and encourages the mass production of generic, high-potency products to achieve economies of scale and lower pre-tax prices. A potency-based tax, in contrast, decouples the tax from the price. This allows a producer to create a

high-priced, artisanal, low-THC product that would face a very low tax burden. This encourages product differentiation and innovation, catering to a wider range of consumers, including those who do not seek maximum intoxication. The tax structure itself can thus become a tool that either homogenizes the market around high-potency products or encourages a diverse ecosystem of products for varied consumer preferences.

Feature	Ad Valorem (Price-Based)	Weight-Based	Potency- Based (THC)
Simplicity of Administration	High	Medium	Low (requires robust testing)
Revenue Stability	Low	High	High
Targeting Externalities	Low	Medium	High
Incentive for Potency Reduction	None	None	High
Vulnerability to Illicit Market	High (if prices are high)	Medium (if rate is too high)	Medium (if rate is too high)

3.2 Establishing a Rational Tax Rate

Regardless of the tax base chosen, the tax rate must be set low enough to allow the legal market to decisively outcompete the illicit market.⁴ This is the paramount consideration. Every percentage point increase in the tax rate acts as a direct subsidy to the black market, making it more attractive to price-sensitive consumers.⁵ The initial tax rate should be established with the exclusive goal of funding the state's direct costs of regulation, licensing, and public safety functions related to cannabis. Any revenue generated beyond that necessary amount should be viewed as a secondary benefit, not a primary objective. A state that prioritizes revenue generation over market transition will ultimately achieve neither, as an overly burdensome tax will keep a large share of the market underground and untaxed.

3.3 Creating a Level Playing Field: Taxing All Intoxicating Cannabinoids

The federal Agriculture Improvement Act of 2018 (the "Farm Bill") created a massive regulatory loophole by legalizing cannabis containing less than 0.3% delta-9 THC, defining it as "hemp".²² This has led to a booming, largely unregulated market for intoxicating products derived from hemp, such as Delta-8 THC, which are chemically synthesized from legal CBD but have psychoactive effects similar to traditional Delta-9 THC.²³ These products currently face no federal excise tax and exist in a legal gray area, subject to a patchwork of inconsistent state rules.²³

This situation creates a severely distorted market. It incentivizes businesses to produce and sell these less-regulated, and potentially less-safe, intoxicating hemp products simply to avoid the punitive tax and regulatory burden of the state-legal marijuana system. This is an untenable and dangerous situation that undermines both consumer safety and the integrity of the legal market. The debate over taxing hemp-derived cannabinoids reveals a fundamental truth about prohibition: markets will always innovate to circumvent arbitrary restrictions. The attempt to ban one specific substance (Delta-9 THC) simply created a powerful incentive for chemists to create a legal substitute (Delta-8 THC). This demonstrates the futility of a "whack-a-mole" approach to prohibition and reinforces the need for a simple, universal principle: regulate based on function (intoxication), not on arbitrary botanical or chemical origin.

The solution is to create a cannabinoid-neutral tax and regulatory framework. Any product sold for its intoxicating properties, regardless of whether its cannabinoids are derived from hemp or marijuana, must be subject to the same rigorous testing, packaging, labeling, age restrictions, and excise tax regime.²³ This closes the loophole, protects consumers from potentially unsafe products, and ensures fair competition based on quality and price, not on the ability to exploit a legal oversight.

3.4 Repealing IRC Section 280E

At the federal level, the single greatest tax-related barrier to a healthy legal market is Section 280E of the Internal Revenue Code. This provision, a relic of the War on Drugs, forbids any business "trafficking in controlled substances (within the meaning of schedule I and II of the Controlled Substances Act)" from taking ordinary business expense deductions.⁶ As long as marijuana remains a Schedule I or II substance, state-legal cannabis businesses cannot deduct essential expenses like rent, utilities, and employee salaries.¹ This forces them to pay federal income tax on their gross profits rather than their net income, leading to crippling effective tax rates that can exceed 70%.¹ This punitive measure makes it extraordinarily difficult for legal businesses to turn a profit, reinvest in their operations, and, most importantly, compete on price with the illicit market. It is a policy that has no place in a post-legalization world. Congress must act immediately to repeal Section 280E entirely. In the absence of congressional action, the administrative reclassification of cannabis from Schedule I to Schedule III by the Drug Enforcement Agency (DEA)—a move recently recommended by the Department of Health and Human Services—would automatically render Section 280E inapplicable to the cannabis industry, as the statute only applies to Schedule I and II substances.⁶ This single federal reform would do more to stabilize the legal cannabis market and enable it to displace the illicit market than any state-level tax cut.

Chapter 4: Tearing Down the Walls - The Constitutional Imperative for Interstate Commerce

The current system of over two dozen isolated, state-siloed cannabis markets is a historical anomaly. It is an economically inefficient and constitutionally untenable relic of federal prohibition, born of a misplaced fear that allowing products to cross state lines would invite federal intervention. As the nation moves inexorably toward federal legalization, this balkanized structure cannot and will not survive. The future of cannabis is a national market, and it is imperative that policymakers and industry stakeholders begin preparing for this inevitability now.

4.1 The Dormant Commerce Clause: A Constitutional Time Bomb

The Commerce Clause of the U.S. Constitution (Article I, Section 8, Clause 3) grants Congress the exclusive power "To regulate Commerce... among the several States." The "dormant" aspect of this clause is a long-standing legal doctrine, affirmed by the Supreme Court, that prohibits states from enacting laws that discriminate against or place an undue burden on interstate commerce.²⁶ State laws that explicitly ban the importation of cannabis from other states where it is legal are a textbook example of the kind of economic protectionism that the dormant Commerce Clause was designed to prevent.³⁰ These laws erect trade barriers to protect local producers from out-of-state competition, a practice that is fundamentally at odds with the vision of a unified national market that was central to the Constitution's framing. Federal courts are already beginning to apply this foundational doctrine to the cannabis industry. In a landmark 2022 decision, *Northeast Patients Group v. Maine Department of Administrative and Financial Services*, the U.S. Court of Appeals for the First Circuit held that Maine's residency requirement for dispensary owners violated the dormant Commerce Clause.²⁸ Crucially, the court rejected the state's argument that the doctrine could not apply to a federally illegal market, stating, "we are not persuaded that the dormant Commerce Clause can have no effect in a market in which Congress has made participation criminal".²⁷ The court reasoned that because Congress, through appropriations riders like the Rohrabacher–Farr Amendment, has recognized and permitted the existence of state-regulated medical cannabis markets, it has acknowledged a legitimate market that cannot be shielded from constitutional principles of free trade.³² While a few federal district courts have issued conflicting rulings, the clear trajectory of the law is toward the invalidation of these protectionist barriers.³⁰ The question is not *if* these state-imposed walls will fall, but *when*. It is only a matter of time before a court strikes down a state's ban on cannabis imports, a decision that would send shockwaves through the entire industry.

4.2 The Economic Inefficiency of Balkanization

Beyond the constitutional infirmity of the current system, it is also profoundly economically inefficient. The requirement that cannabis be grown, processed, and sold within the borders of a single state forces a massive and wasteful duplication of capital investment. A company that wishes to operate in multiple states must build separate and redundant cultivation, processing, and distribution infrastructure in every single state, a practice that is unheard of in any other industry.³⁰

This balkanization prevents the realization of specialization and comparative advantage, which are the very engines of economic prosperity. It is irrational and wasteful to require cannabis to be grown in costly, energy-intensive indoor facilities in Illinois or New York when it could be grown far more cheaply and sustainably in the ideal outdoor climates of California or Oregon.³³ This system protects inefficient local producers from competition at the direct expense of consumers, who are forced to pay higher prices for a more limited selection of goods. A national free-trade zone in cannabis would unleash the forces of competition and innovation, leading to lower prices, better and more diverse products, and a more efficient and sustainable allocation of capital and resources across the country.

The impending reality of the dormant Commerce Clause's application to cannabis completely undermines the logic of many state-level policies, particularly "social equity" programs that are predicated on granting protected status to a limited number of local license holders. The value of a social equity license in a high-cost state like Massachusetts is predicated on a protected local market with artificially limited competition. Once a federal court strikes down that state's ban on imports, that local licensee will be forced to compete with massive, efficient producers from California. The protectionist walls that give the local license its artificial value will evaporate overnight, rendering the entire program worthless and revealing its economic unsustainability from the very start.²⁶

4.3 A Proactive Path Forward: Harmonization and Interstate Compacts

States should not wait passively for a court order to throw their markets into chaos. The prudent and responsible course of action is to begin the

process of preparing for interstate commerce now. This involves proactively working with other legal states to harmonize regulations and minimize the technical barriers to trade that will inevitably arise from disparate state-level approaches.³⁰

A proactive agenda for states should include several key initiatives:

1. **Standardize Testing Protocols:** States should convene to establish common standards for laboratory testing of potency and contaminants. This would ensure that a product deemed safe and accurately labeled in one state is accepted in another, avoiding the need for redundant and costly re-testing at every border.
2. **Harmonize Labeling Requirements:** While states may wish to retain certain specific warnings, they should work to agree on a common framework for labeling essential information like potency, ingredients, and serving sizes. This would prevent the absurd outcome of a producer needing dozens of different packages for the exact same product to be sold in different states.²⁹
3. **Create Reciprocal Tracking Systems:** The "seed-to-sale" tracking systems used by states to monitor inventory are essential for regulatory compliance. States should work to make these systems interoperable, allowing for a clear and unbroken chain of custody as products legally cross state lines.
4. **Form Interstate Compacts:** States should follow the lead of California, Oregon, and Washington, which have passed legislation authorizing their governors to enter into agreements with other states to allow for interstate cannabis trade.²⁷ By forming voluntary compacts, states can create a bottom-up, state-led framework for interstate commerce that can serve as a model for eventual federal policy, ensuring that the transition to a national market is orderly and predictable rather than sudden and disruptive.

The transition from state-siloed markets to a national market will be a powerful case study in the benefits of free trade versus protectionism. The arguments currently used to defend state cannabis markets—protecting local jobs, shielding "infant industries"—are the same fallacious arguments that have been used to justify destructive trade

barriers for centuries. The eventual success of a national cannabis market will serve as a powerful, contemporary illustration of why the Founders were right to insist on a national free-trade zone, providing a valuable lesson in economic liberty that extends far beyond cannabis policy.

Chapter 5: Rectifying Injustice - A Principled Approach to the Legacies of Prohibition

The War on Drugs, and the war on cannabis in particular, was not merely a failed policy; it was a profound injustice that inflicted deep and lasting harm on millions of Americans. The enforcement of these laws was characterized by vast racial disparities, with black Americans being arrested for marijuana possession at nearly four times the rate of white Americans, despite roughly equal rates of use.³⁵ A just and liberal society has a moral obligation to remedy these harms. However, the "social equity" programs created by many states are deeply flawed, often amounting to little more than government-sponsored social engineering that benefits the politically connected rather than the truly harmed. A principled, libertarian approach offers a more direct, effective, and just path to rectifying the legacies of prohibition.

5.1 The Failure of Government-Led "Social Equity"

State-level social equity programs typically involve two primary mechanisms: reserving a subset of a state's limited cannabis licenses for applicants who meet certain criteria, and directing a portion of cannabis tax revenue toward community grants.³⁶ Both of these approaches are prone to failure, corruption, and unintended consequences.

The criteria for license eligibility are often so broad that they can be easily exploited. In many states, simply having lived in a neighborhood with high arrest rates is sufficient to qualify, allowing individuals who were never personally affected by the drug war to claim benefits.³⁷ This has created a cottage industry for well-capitalized firms and wealthy insiders to find "figurehead" applicants to put on their license applications, subverting the intent of the programs.³⁷ The results are often perverse. In Illinois, one of the first "social equity" licenses was

awarded not to a victim of the drug war, but to an ownership group that included a former Chicago narcotics detective.³⁷ In California, wealthy investors have been exposed for paying qualifying applicants small sums to serve as fronts for their businesses, allowing the investors to secure privileged licenses.³⁷

The community grant model is similarly flawed. It diverts tax revenue to community organizations with often nebulous goals and little to no oversight or accountability for how the funds are spent.³⁸ This money fails to provide direct relief to the actual victims of prohibition. These programs are not a form of restorative justice; they are a new form of rent-seeking and political patronage that perpetuates injustice under a veneer of benevolence.³⁹

Feature	Government-Led Social Equity	Market-Based Restorative Justice
Primary Mechanism	License set-asides and community grants	Automatic expungement and removal of market barriers
Primary Beneficiaries	Politically connected insiders and grant-receiving organizations	Individuals with prior convictions and all new entrepreneurs
Metric for Success	Number of "equity" licenses awarded or dollars granted	Number of records cleared and ease of market entry for all
Susceptibility to Corruption	High (due to discretionary awards and limited licenses)	Low (based on objective, universal rules)
Long-Term Outcome	Creates a new class of government-dependent businesses	Creates a competitive market and restores individual rights

5.2 A Market-Based Framework for Restorative Justice

True restorative justice is not about the government picking winners and losers in a new industry. It is about removing government-imposed

barriers and, to the extent possible, making victims whole. This requires a three-pronged approach focused on restoring rights and opportunities. This framework is superior because it is based on principles of *negative liberty*—the removal of constraints imposed by the state—rather than principles of *positive liberty*, which involve the government attempting to provide specific outcomes. The harms of the drug war were caused by government action: arrests, convictions, and the creation of a dangerous illicit market. The proper role of government in remedying these harms is to *undo* its own destructive actions.

Pillar 1: Universal Market Access

As argued in Chapter 2, the single most powerful tool for equity is a policy of open, low-barrier, ministerial licensing. This allows legacy suppliers who operated in the illicit market to transition into the legal market and empowers entrepreneurs from all communities to compete on a level playing field. It removes the need for massive upfront capital and political connections, which are the true barriers that have systematically excluded those from disadvantaged backgrounds.³⁹

Pillar 2: The Clean Slate Imperative

Justice demands that the slate be wiped clean for those who were branded criminals for conduct that is now legal or widely tolerated. States and the federal government must implement systems for the automatic and retroactive expungement of all past non-violent cannabis offenses, and this process must be performed at government expense. This is not just a moral imperative; it is an economic one. A criminal record raises significant barriers to employment, housing, and education.⁴¹ Research on Michigan's expungement law found that individuals saw their wages rise by an average of 23% within a year of having their records cleared, an increase driven mainly by the unemployed finding work.⁴¹

The current petition-based systems used in many states are wholly inadequate, with abysmally low uptake rates—as low as 6.5% of eligible individuals in one study—due to the cost and complexity of navigating the bureaucratic and judicial process.⁴¹ Automation is the only effective and just solution. While some research has found limited labor market impacts from the automatic reduction of felonies to misdemeanors, the evidence for the benefits of full expungement, especially for those motivated enough to seek it out, points to significant economic gains that benefit not only the individual but society as a whole.⁴²

Pillar 3: Abolishing "Policing for Profit"

The War on Drugs was fueled by perverse financial incentives, chief among them the practice of civil asset forfeiture. This practice allows law enforcement agencies to seize and keep property—cash, cars, homes—on the mere suspicion of its connection to a crime, often without ever charging the owner with, let alone convicting them of, any offense.⁴³ This creates a powerful "policing for profit" incentive, where enforcement priorities are driven by the potential for revenue rather than public safety.

This practice must end. All asset forfeiture should require a criminal conviction. Furthermore, to remove the corrupting financial incentive, all proceeds from forfeited property must be directed to a neutral fund, such as a state's general treasury or an education fund, rather than flowing directly back to the seizing law enforcement agency.⁴⁴ States like Pennsylvania have taken modest steps to reform their forfeiture laws, such as raising the standard of proof, but comprehensive reform that severs the direct financial link between seizures and police budgets is essential.⁴⁵

This principled approach exposes the intellectual poverty of the prevailing "tax and spend" approach to social problems. The argument that a new legal industry should be punitively taxed to pay for the damages of the old illegal one is a tacit admission of the state's failure. A more coherent approach recognizes that justice is not found in wealth redistribution schemes that are ripe for corruption, but in the restoration of rights and the removal of the state-imposed shackles that caused the harm in the first place. The best way to help the victims of the drug war is to get the government out of their way, permanently.

Chapter 6: Liberty and Responsibility - The Role of Civil Society in a Post-Prohibition World

The final and perhaps most crucial step in constructing a durable post-prohibition framework is to articulate a positive vision for how a free society addresses the real and undeniable challenges of substance use and abuse. The end of prohibition does not mean the end of these challenges. The answer, however, does not lie in a new form of government paternalism or a reconfigured therapeutic state. It lies in empowering individuals with freedom and trusting in the voluntary,

compassionate, and innovative institutions of civil society to foster a culture of responsibility.

6.1 Individual Responsibility in a Free Society

The end of state-sponsored prohibition is not an endorsement of drug use; it is a profound affirmation of individual sovereignty and personal responsibility.⁴⁷ In a free society, adults are presumed to be the rightful owners of their own lives and are trusted to make their own choices about what they consume, accepting the attendant risks and rewards of those choices.⁴⁸ The proper role of government is to protect individuals from force and fraud perpetrated by others, not to protect them from the consequences of their own decisions.

A culture of responsible use is not something that can be mandated by law. On the contrary, it is fostered by the very conditions that prohibition destroys: open access to honest information, the freedom to make informed choices, and the existence of market safeguards that ensure product quality and safety.³⁵ Prohibition systematically undermines responsibility by driving use into the shadows, promoting a culture of misinformation and fear, and eliminating any possibility of quality control in the market.³⁵ In a legal, transparent market, individuals are empowered to learn, to choose, and to integrate use, if they so decide, into a healthy and productive life.⁴⁸

6.2 Empowering Civil Society for Harm Reduction

While most individuals who choose to use cannabis will do so responsibly, it is an undeniable fact that some will develop problematic use patterns that cause harm to themselves or others. The most compassionate and effective response to this reality comes not from the criminal justice system, but from the voluntary, community-based institutions of civil society.⁴⁹ This encompasses a wide array of strategies and services collectively known as "harm reduction." Harm reduction is a pragmatic and humane approach based on the realistic understanding that a drug-free society is an unattainable goal.⁴⁹ Instead of focusing on the impossible task of eliminating use, it focuses nonjudgmentally on reducing the harms associated with it.⁴⁹

Strategies such as syringe services programs (SSPs) and safe consumption sites have been proven for decades in Europe, Canada, and Australia to save lives, prevent the spread of infectious diseases like HIV and hepatitis, and connect individuals with treatment and social services.⁴⁹

Tragically, in the United States, these life-saving efforts are often blocked by misguided state and federal laws. Safe consumption sites, for instance, are threatened by the federal "crack house statute" (21 U.S.C. § 856), which makes it a felony to maintain a premises where controlled substances are used.⁴⁹ The government's proper role is to repeal these laws and get out of the way of the privately funded, nonprofit organizations that are on the front lines of addressing the harms of drug use.⁴⁹ Prohibition, by treating all use as a crime, crowds out these nuanced and compassionate responses, leaving only the brutal binary of forced abstinence or punishment. Legalization and the removal of barriers to harm reduction are therefore not just policy changes; they are a fundamental shift that re-empowers individuals and civil society to reclaim their proper role in managing social problems—a role that was usurped by the coercive state during the War on Drugs.

6.3 A Vibrant Marketplace of Care

In a free society, solutions to complex social problems like addiction emerge from a competitive, decentralized process of discovery, not from a top-down, one-size-fits-all government program. A vast and diverse ecosystem of private and non-profit providers already exists, offering a wide range of treatment modalities to meet the varied needs of individuals. This includes everything from medically supervised detoxification and inpatient residential care, such as that provided by the Hazelden Betty Ford Foundation⁵², to flexible outpatient services and recovery homes offered by organizations like the Gateway Foundation⁵³, to a rich network of peer support groups and community-based organizations.⁵⁴

Rather than attempting to supplant this network with a bureaucratic government program, a post-prohibition society should seek to foster this vibrant marketplace of care. The role of government, if any, should be strictly limited to providing impartial information and resources, much

like the Substance Abuse and Mental Health Services Administration (SAMHSA) does at the federal level, while allowing individuals, families, and their communities to choose the solutions that they deem best for themselves.⁵⁵ This approach leverages local knowledge, fosters innovation, and harnesses the power of voluntary association—the hallmarks of a vigorous and healthy civil society.⁵⁷

The ultimate success of cannabis legalization will not be measured by the tax revenue it generates or the number of dispensaries it creates. It will be measured by the extent to which it helps foster a mature culture of responsibility. This culture cannot be imposed by the state. It can only emerge spontaneously when individuals are granted the freedom to choose, the freedom to make mistakes, and the freedom to form voluntary associations to help one another navigate the complexities of life. A truly liberal society is not one that seeks to eliminate risk, but one that equips its citizens with the liberty and the responsibility to manage it.

Conclusion: The Path Forward - From Cannabis to a Consistent Defense of Liberty

This treatise has laid out a comprehensive and principled framework for a post-prohibition cannabis market. It is a framework built not on the discredited premises of central planning and paternalism, but on the enduring principles of a free society. It is a model founded on open access for entrepreneurs, not arbitrary caps that create cartels; on low and simple taxes that fund essential government functions, not punitive levies that fuel illicit markets; on the constitutional guarantee of free trade, not on balkanized protectionism; on true restorative justice that removes state-imposed barriers, not on failed social engineering; and, ultimately, on a belief in individual responsibility and the power of civil society, not on the coercive force of the state.

This model, however, is more than just a plan for cannabis. It is a template for how to dismantle the entire failed, corrupt, and profoundly illiberal War on Drugs. The principles articulated here—of respecting the right to market entry, of implementing sound and limited taxation, of adhering to constitutional limits on state power, of rectifying past injustices by restoring rights, and of trusting in the primacy of civil society—are not specific to cannabis. They are universal principles of

liberty that are applicable to all substances currently prohibited by the state.

By demonstrating how to successfully and responsibly transition from the disaster of prohibition to a functioning free market for cannabis, we lay the intellectual and practical groundwork for the final, most ambitious step in this trilogy of reform. That final step will be to apply these very lessons to all drugs, thereby bringing a final end to the most destructive and illiberal domestic war of our time. The path forward is clear. It is the path of liberty.

Works cited

1. Limiting Federal Regulation of Cannabis - Cato Institute, accessed October 21, 2025, <https://www.cato.org/regulation/fall-2023/limiting-federal-regulation-cannabis>
2. Cato Institute - Wikipedia, accessed October 21, 2025, https://en.wikipedia.org/wiki/Cato_Institute
3. Marijuana Licensing Corruption | Cato at Liberty Blog - Cato Institute, accessed October 21, 2025, <https://www.cato.org/blog/marijuana-licensing-corruption>
4. MARIJUANA TAXATION AND BLACK MARKET CROWD-OUT | Reason Foundation, accessed October 21, 2025, <https://reason.org/wp-content/uploads/marijuana-taxation-black-market-crowd-out.pdf>
5. State Marijuana Regulators Send Congress Cannabis Market Recommendations, accessed October 21, 2025, <https://reason.org/commentary/state-marijuana-regulators-send-congress-cannabis-market-recommendations/>
6. The Continuing Negative Impact of Federal and State Taxation on the Cannabis Industry; Where Do We Go from Here? | Regulatory Oversight, accessed October 21, 2025, <https://www.regulatoryoversight.com/2024/01/the-continuing-negative-impact-of-federal-and-state-taxation-on-the-cannabis-industry-where-do-we-go-from-here/>
7. Rooting Out Regulatory Capture, accessed October 21, 2025, <https://www.theregreview.org/2016/06/13/rooting-out-regulatory-capture/>
8. The Strengths and Flaws in Minnesota's Marijuana Legalization Bill ..., accessed October 21, 2025, <https://reason.org/commentary/the-strengths-and-flaws-in-minnesotas->

[marijuana-legalization-bill/](#)

9. How Sunset Works | Texas Sunset Advisory Commission, accessed October 21, 2025, <https://www.sunset.texas.gov/how-sunset-works>
10. 2022 Sunset Review - Colorado General Assembly |, accessed October 21, 2025, https://leg.colorado.gov/sites/default/files/html-attachments/098b7f0f514a3d6687258981006c6b76__hearing_summary/Attachment%20A.pdf
11. Report Sunset and Sunrise in Occupational Licensing Policy, accessed October 21, 2025, <https://www.ncsl.org/labor-and-employment/sunset-and-sunrise>
12. The Sunset Process and Texas Agencies: What You Need to Know - TexProtects, accessed October 21, 2025, <https://www.texprotects.org/the-sunset-process-and-texas-agencies-what-you-need-to-know/>
13. California Cannabis and CEQA Collide - Brownstein Hyatt Farber Schreck, accessed October 21, 2025, <https://www.bhfs.com/insight/california-cannabis-and-ceqa-collide/>
14. The Case Against State Occupational Licensing Boards - Cato Institute, accessed October 21, 2025, <https://www.cato.org/briefing-paper/case-against-state-occupational-licensing-boards>
15. Occupational Licensing | Cato Institute, accessed October 21, 2025, <https://www.cato.org/publications/facilitating-personal-improvement-occupational-licensing>
16. Green Rush: Principles for Taxing Cannabis | TaxEDU, accessed October 21, 2025, <https://taxfoundation.org/taxedu/videos/cannabis/>
17. Recreational Marijuana Taxes by State, 2025 - Tax Foundation, accessed October 21, 2025, <https://taxfoundation.org/data/all/state/recreational-marijuana-taxes/>
18. How do state and local cannabis (marijuana) taxes work? - Tax Policy Center, accessed October 21, 2025, <https://taxpolicycenter.org/briefing-book/how-do-state-and-local-cannabis-marijuana-taxes-work>
19. Cuomo Proposes New York Marijuana Tax | Tax Foundation,

- accessed October 21, 2025, <https://taxfoundation.org/blog/new-york-marijuana-tax/>
20. How High? Adjusting California's Cannabis Taxes - Legislative Analyst's Office, accessed October 21, 2025, <https://lao.ca.gov/reports/2019/4125/cannabis-taxes-121719.pdf>
 21. Cannabis Potency Tax Feasibility Study, accessed October 21, 2025, https://lcb.wa.gov/sites/default/files/publications/Marijuana/Potency_Tax_Study/Cannabis-Potency-Tax-Workgroup_Report_FINAL.PDF
 22. Model legislation for optimal state regulation of hemp cannabinoids - Reason Foundation, accessed October 21, 2025, <https://reason.org/commentary/model-legislation-for-optimal-state-regulation-of-hemp-cannabinoids/>
 23. Intoxicating Hemp | Moritz College of Law - The Ohio State University, accessed October 21, 2025, <https://moritzlaw.osu.edu/faculty-and-research/drug-enforcement-and-policy-center/research-and-grants/policy-and-data-analyses/intoxicating-hemp>
 24. A framework for federal and state hemp-derived cannabinoid ..., accessed October 21, 2025, <https://reason.org/wp-content/uploads/framework-federal-state-hemp-derived-cannabinoid-regulation.pdf>
 25. Why Hemp-Synthesized Intoxicants Need Uniform Regs - Duane Morris LLP, accessed October 21, 2025, https://www.duanemorris.com/articles/why_hemp_synthesized_intoxicants_need_uniform_regs_1123.html
 26. What the Dormant Commerce Clause Means for Cannabis - Safe Harbor Financial, accessed October 21, 2025, <https://shfinancial.org/what-the-dormant-commerce-clause-means-for-cannabis/>
 27. Demystifying the dormant commerce clause's considerations for cannabis | Holland & Hart LLP, accessed October 21, 2025, <https://www.hollandhart.com/demystifying-the-dormant-commerce-clauses-considerations-for-cannabis>
 28. First Circuit Decision Could Disrupt Business Ownership in Cannabis Industry Publications, accessed October 21, 2025,

<https://www.bassberry.com/news/first-circuit-decision-could-disrupt-business-ownership-in-cannabis-industry/>

29. A Sleeping Giant: How the Dormant Commerce Clause Looms Over the Cannabis Marketplace | Yale Law & Policy Review, accessed October 21, 2025, https://yalelawandpolicy.org/inter_alia/sleeping-giant-how-dormant-commerce-clause-looms-over-cannabis-marketplace
30. The Case for Interstate Marijuana Commerce Right Now - Reason ..., accessed October 21, 2025, <https://reason.org/wp-content/uploads/case-for-interstate-marijuana-commerce-right-now.pdf>
31. The case for interstate marijuana commerce right now - Reason Foundation, accessed October 21, 2025, <https://reason.org/policy-brief/the-case-for-interstate-marijuana-commerce-right-now/>
32. First Circuit makes clear cannabis is subject to interstate commerce clause, accessed October 21, 2025, <https://reason.org/commentary/first-circuit-makes-clear-cannabis-is-subject-to-interstate-commerce-clause/>
33. Interstate trade in cannabis should begin immediately - Reason Foundation, accessed October 21, 2025, <https://reason.org/commentary/interstate-trade-in-cannabis-should-begin-immediately/>
34. 10 Legal Challenges for the Cannabis Industry in 2023 | ArentFox Schiff, accessed October 21, 2025, <https://www.afslaw.com/perspectives/alerts/10-legal-challenges-the-cannabis-industry-2023>
35. Yes, Marijuana Legalization Is Working - Cato Institute, accessed October 21, 2025, <https://www.cato.org/commentary/yes-marijuana-legalization-working>
36. "Bounded Equity: The Limits of Economic Models of Social Justice in Cannabis Legislation" - PMC - PubMed Central, accessed October 21, 2025, <https://pmc.ncbi.nlm.nih.gov/articles/PMC10373104/>
37. Social equity programs are failing to help victims of the drug war - Reason Foundation, accessed October 21, 2025, <https://reason.org/commentary/social-equity-programs-are-failing-to->

[help-victims-of-the-drug-war/](#)

38. Marijuana social equity programs should be redesigned to focus on restorative justice, accessed October 21, 2025, <https://reason.org/commentary/marijuana-social-equity-programs-should-be-redesigned-to-focus-on-restorative-justice/>
39. MARIJUANA'S SOCIAL EQUITY MISFIRE | Reason Foundation, accessed October 21, 2025, <https://reason.org/wp-content/uploads/marijuana-social-equity-misfire.pdf>
40. Social equity programs in marijuana legalization laws aren't achieving goals of helping victims of the drug war - Reason Foundation, accessed October 21, 2025, <https://reason.org/policy-study/social-justice-marijuana-legalization-fail-victims-of-drug-war-new-barriers/>
41. The Power of a Clean Slate | Cato Institute, accessed October 21, 2025, <https://www.cato.org/regulation/summer-2020/power-clean-slate>
42. Labor Market Impacts of Reducing Felony Convictions - Cato Institute, accessed October 21, 2025, <https://www.cato.org/research-briefs-economic-policy/labor-market-impacts-reducing-felony-convictions>
43. Asset Forfeiture | Cato Institute - Freedom in the 50 States, accessed October 21, 2025, <https://www.freedominthe50states.org/asset-forfeiture>
44. 12. Civil Asset Forfeiture Reform - Cato Institute, accessed October 21, 2025, <https://www.cato.org/cato-handbook-policymakers/cato-handbook-policy-makers-8th-edition-2017/12-civil-asset-forfeiture-reform>
45. Policing for Profit - Institute for Justice, accessed October 21, 2025, <https://ij.org/report/policing-for-profit-3/?state=PA>
46. Court: Pennsylvania Has No Common Law Asset Forfeiture | Cato at Liberty Blog, accessed October 21, 2025, <https://www.cato.org/blog/court-pennsylvania-has-no-common-law-asset-forfeiture>
47. New at Cato Unbound: Responsible Drug Use | Cato at Liberty Blog, accessed October 21, 2025, <https://www.cato.org/blog/new-cato-unbound-responsible-drug-use>
48. Is Responsible Drug Use Possible? - Cato Unbound, accessed

- October 21, 2025, <https://www.cato-unbound.org/2008/09/10/jonathan-caulkins/responsible-drug-use-possible/>
49. The Overdose Crisis | Cato Institute, accessed October 21, 2025, <https://www.cato.org/cato-handbook-policymakers/cato-handbook-policymakers-9th-edition-2022/overdose-crisis>
 50. Kicking the Habit: The Opioid Crisis and America's Addiction to Prohibition | Cato Institute, accessed October 21, 2025, <https://www.cato.org/policy-analysis/kicking-habit-opioid-crisis-americas-addiction-prohibition>
 51. 23. The War on Drugs | Cato Institute, accessed October 21, 2025, <https://www.cato.org/cato-handbook-policymakers/cato-handbook-policy-makers-8th-edition-2017/23-war-drugs>
 52. Substance Abuse Recovery & Mental Health Treatment, accessed October 21, 2025, <https://www.hazeldenbettyford.org/>
 53. Gateway Foundation: Drug & Alcohol Rehab Centers in Illinois, accessed October 21, 2025, <https://www.gatewayfoundation.org/>
 54. Government & Non-Profit Addiction Treatment Resources - Adcare.com, accessed October 21, 2025, <https://adcare.com/addiction-resources-center/government-nonprofits-organizations/>
 55. Substance Abuse and Mental Health | Florida DCF, accessed October 21, 2025, <https://www.myflfamilies.com/services/substance-abuse-and-mental-health>
 56. Home | SAMHSA - Substance Abuse and Mental Health Services Administration, accessed October 21, 2025, <https://www.samhsa.gov/>
 57. The War on Drugs | Cato Institute, accessed October 21, 2025, <https://www.cato.org/cato-handbook-policymakers/cato-handbook-policymakers-9th-edition-2022/war-drugs>
 58. Improving the participatory role of civil society in addressing the world drug problem - Unodc, accessed October 21, 2025, https://www.unodc.org/documents/commissions/CND/CND_Sessions/CND_55/E-CN7-2012-CRP1_V1251017_E.pdf
 59. The role of civil society in the development and implementation of drug policies on prevention, treatment and social reintegration - INCB, accessed October 21, 2025, <https://www.incb.org/>

The Keystone of Liberty: A Treatise on the Application of Republican Virtue in the Modern State

Introduction: From Principle to Practice

This volume constitutes the third part of a trilogy dedicated to the principles of a free society. The first established the philosophical foundations upon which such a society must be built: individual liberty, constitutionally limited government, and the spontaneous order of free markets. It articulated the *why*. This treatise now confronts the more arduous task of the *how*. Principles, however sound, remain inert if they are not applied with wisdom, courage, and a clear-eyed understanding of the world as it is. This work endeavors to bridge the chasm between abstract philosophy and the concrete, often intractable, challenges of modern governance.

To move from principle to practice requires a laboratory. For this purpose, we turn to the Commonwealth of Pennsylvania. The choice is not arbitrary. Pennsylvania is, in both a historical and a metaphorical sense, the "Keystone State".¹ It was here, in Philadelphia, that the Declaration of Independence was adopted and the Constitution drafted, laying the political cornerstone of the American experiment.¹ Its founding under William Penn was conceived as a "haven for religious and political tolerance," an early and radical experiment in pluralism and peaceful coexistence.² This spirit of liberty catalyzed a remarkable history of scientific and industrial innovation, from Benjamin Franklin's inquiries to the steel foundries that built a nation.² Pennsylvania's legacy is thus inextricably linked to the very principles this work seeks to champion.

Today, however, the Commonwealth faces the same challenges that beset the entire nation: economic stagnation, social division, and a crisis of confidence in its governing institutions. It is therefore the ideal crucible in which to test whether the spirit of the American founding can

be rekindled to solve the problems of the 21st century. This treatise will use Pennsylvania as an extended case study, examining specific policy dilemmas through the lens of republican virtue and market principles. The central question is this: Can the modern administrative state, with its vast and often coercive apparatus, be reformed? Can its trajectory of inexorable growth be reversed, not through revolution, but through the deliberate and principled application of statesmanship and federalism? Or has the political arena, as it is currently constituted, become inherently hostile to liberty, a negative-sum game that destroys wealth and corrodes the character of its citizens?⁵ The answers to these questions will determine not only the future of one state, but the viability of the republican project itself.

Part I: The Instruments of a Free Republic

Chapter 1: The Statesman's Compass: Reviving the Ideal of Principled Governance

The crisis of modern governance is not, at its root, a failure of policy but a failure of leadership. It is a crisis of character, born from the eclipse of statesmanship by the relentless and consuming practice of politics. Sound policy is downstream from sound leadership, and any attempt to reform the state must begin by re-establishing the ideal of the principled governor. The politician thinks of the next election; the statesman, of the next generation.⁶ This distinction is not merely rhetorical; it is the fundamental dividing line between a government that serves the people and one that serves itself.

The classical ideal of the statesman finds its expression in the writings of Cicero, who envisioned a leader guided by *virtus* (virtue), *iustitia* (a sense of justice), and wisdom.⁷ Such a leader serves the *bonum commune*, the common good, rather than the narrow interests of a faction or party.⁶ This ideal stands in stark contrast to the modern politician, who is often perceived, not without reason, as one who "will say or do anything to get elected or to gain power".⁷ The statesman's objective is not to dominate or control, but to educate citizens so they are fit to live in a democracy, shaping their character through exemplary

leadership.⁷

History provides a powerful, if imperfect, archetype of this ideal in Marcus Porcius Cato, known as Cato the Younger. In the turbulent final days of the Roman Republic, amidst pervasive bribery and the licentious excesses of the aristocracy, Cato cultivated a reputation for "unbending justice," "probity," and scrupulous honesty.⁹ As a noted Stoic, he was committed not only to a fierce form of fiscal conservatism—balancing the budget, paying the state's debts, and cracking down on corruption—but to an "unshaking commitment to liberty in the face of crisis".⁹ He stood as the boldest advocate for traditional Roman political rights against the populist ambitions of the First Triumvirate, even at great personal cost. The Cato Institute's adoption of his name is a deliberate signal of this commitment to principle over power, a recognition that the preservation of liberty is a moral duty.⁹

Translating this classical ideal into the modern context reveals a set of indispensable qualities. A statesman possesses vision, the ability to see beyond the rush of daily events and execute a long-term strategy.¹⁰ They exhibit courage, the "grace under pressure" required to take steps that may be unpopular but are necessary for the long-term health of the republic.¹⁰ This requires a disciplined, evidence-based decision-making process, one that consults a wide range of experts and historical precedents, much like President Eisenhower's strategic planning for his National Security Council.¹⁰ Crucially, a statesman accepts ultimate responsibility, echoing President John F. Kennedy's terse admission after the Bay of Pigs fiasco: "I'm the responsible officer of the government".¹⁰

The antithesis of statesmanship is the political mindset that now dominates Western capitals. Politics, in this debased form, is a coercive, zero-sum, or even negative-sum, game that destroys wealth and erodes liberty.⁵ It is animated by the constant expansion and encroachment of state power into every facet of human life. The incentive to deploy the state against one's opponents is irresistible for those who cannot win through persuasion.⁵ This leads to a state of perpetual conflict, where contentious politics erupt over issues as personal as "which schoolchild uses which toilet".⁵ In times of anxiety and turmoil, this political class

exploits fear, encouraging the populace to long for strongmen, hunt for scapegoats, and erect barriers to trade and exchange—a mentality that seeks stability but inevitably finds only stagnation.¹¹

The fundamental difference between the two archetypes lies in their perception of the state's purpose. The politician seeks to expand the political arena, pulling ever more of life under the state's coercive control to be used as leverage. The statesman, by contrast, seeks to *reduce* the number of conflicts settled at the political level. Their aim is to secure "the conditions for politics to occur," which means upholding a constitutional framework of fundamental laws within which citizens can pursue their own ends through voluntary exchange and association.⁸

The statesman is an umpire, enforcing the rules of the game; the politician is a player, constantly trying to rig the rules for their own advantage. This distinction is not one of degree, but of kind.

Metric	The Statesman	The Politician
Primary Aim	The Common Good; Preservation of the Republic ⁶	Re-election; Factional Advantage ⁶
Time Horizon	The Next Generation ⁶	The Next Election ⁶
Core Virtues	Courage, Vision, Selflessness, Probity ⁹	Expediency, Popularity, Ambition ⁷
Methodology	Deliberation, Persuasion, Principled Compromise ⁸	Coercion, Division, Partisan Gain ⁵
View of the State	A limited arbiter of fundamental laws ⁸	An instrument for social and economic engineering ¹²

Chapter 2: The Laboratories of Liberty: Federalism as the Engine of Progress and Peace

For a republic as geographically vast and culturally diverse as the United States, a robust system of federalism is not merely a matter of

administrative convenience; it is the only political structure compatible with liberty and domestic peace. The modern presumption that all "good" policies must be implemented as uniform federal mandates is a dangerous fallacy.¹² This centralized, "one-size-fits-all" approach to governance stifles innovation, exacerbates social conflict, and undermines the very foundations of a free society.

The primary virtue of federalism is its capacity to manage disagreement peacefully. On deeply divisive issues, from school curricula to economic regulation, a federal mandate forces national uniformity, turning political differences into intractable, winner-take-all conflicts.¹² By allowing states to choose their own policies, federalism lowers the stakes of political debate. It creates room for calmer disagreement and reduces polarization, allowing different communities to live according to their own values without imposing them on others.¹² This principle of subsidiarity—devolving conflicts to the lowest possible level of politics—is a core tenet of a society that seeks to limit the coercive power of the state.⁵

Furthermore, state-level variation serves as an indispensable check on the inherent tendency of government to grow. Critics of federalism often raise the specter of a "race to the bottom," where states gut regulations and social programs to attract business or avoid becoming "welfare magnets".¹² While this tendency may exist, it is a useful and necessary counterweight to the far more potent danger of excessive expansion that occurs when policies are made at the federal level, insulated from direct competitive pressures.¹² In practice, states often innovate beyond federal standards, as seen in California's emissions rules or Massachusetts' early expansion of Medicaid, demonstrating that competition can also lead to a "race to the top".¹²

This framework of interstate competition does more than just restrain government growth; it fosters a more rational and deliberative mode of governance. While scholars of international relations debate whether states are rational actors on the world stage, a domestic system of federalism creates powerful incentives for rationality.¹³ A state that enacts ruinous tax policies or suffocating regulations will witness a tangible outflow of capital and human talent. This direct and observable feedback loop disciplines state governments in a way that the federal

government, which enjoys a monopoly on power and can finance its profligacy through debt and inflation, is not. It is far more difficult for a citizen to exit the United States than it is to move from Pennsylvania to Ohio. Federalism thus acts as a practical enforcement mechanism for rational governance, making the consequences of poor decisions immediate and unavoidable.

The contemporary push for federal uniformity is, in fact, a domestic manifestation of a broader and more troubling anti-liberal impulse. In times of anxiety, cultures often turn inward, trading curiosity for control and open exchange for protectionist barriers.¹¹ This desire for a centrally managed stability, which led the Chinese Ming dynasty to ban international trade and lapse into centuries of stagnation, is mirrored in the demand for federal mandates to solve every social and economic problem.¹¹ Federalism is the domestic equivalent of free trade. It is a dynamic system of competition and discovery that fosters prosperity and innovation, even if it appears more chaotic and less orderly than the rigid uniformity of central control. It is a direct counter-offensive against the fearful, "Spartan" mentality that threatens open societies, both from without and from within.¹¹

Part II: The Keystone Application: Forging Liberty in Modern Pennsylvania

Chapter 3: Reclaiming a Legacy of Innovation: From Franklin's Kite to the Modern Marketplace

Pennsylvania's history is not merely a chronicle of events; it is a testament to the powerful synergy between liberty and progress. The Commonwealth's identity is forged from a unique combination of political tolerance, scientific inquiry, and relentless entrepreneurial innovation. To understand Pennsylvania's path to future prosperity, one must first understand this legacy. The state's greatest resource is not its coal seams or its fertile soil, but this dormant spirit of enterprise, which modern policy must seek to unleash rather than restrain.

From its inception, Pennsylvania was an engine of progress. By the mid-1700s, Philadelphia had become the largest and most cosmopolitan city in British North America, a burgeoning center for medicine,

invention, and technological innovation.³ This was the city of Benjamin Franklin, whose practical application of science to improve daily life became a distinctively American frame of mind.³ It was home to the American Philosophical Society, the nation's first museum of natural sciences, and the Franklin Institute, institutions that cemented its reputation as the scientific capital of the new nation.³ This spirit of inquiry was not confined to an elite class; it was a broad-based culture of "amateur inventors" and "gentleman scientists" working in "sheds and basement workshops," developing everything from steamboats to typewriters.³

This intellectual dynamism was matched by an industrial prowess that would define the 19th and 20th centuries. As the "Keystone State," Pennsylvania played a vital role in the Industrial Revolution, becoming a powerhouse of steel, coal, and manufacturing.¹ Its foundries and factories produced the rails, locomotives, bridges, and skyscrapers that formed the backbone of a continental economy.² This industrial might was not a product of central planning, but of the ingenuity and risk-taking of countless individuals and firms.

It is crucial to recognize the source of this extraordinary dynamism. Pennsylvania's founding as a "haven for religious and political tolerance" by William Penn was not simply a moral or social achievement; it was a profound economic advantage.² This policy of liberty and pluralism attracted a rich and diverse mix of immigrants, thinkers, and artisans, creating the deep pool of human capital that is the essential precondition for innovation. The causal link is direct: the policy of tolerance created a cosmopolitan environment where talent could flourish, regardless of creed or origin. This historical fact contains a vital lesson for the present. The most effective economic development strategy is not a complex web of subsidies, tax credits, or state-directed programs. It is the cultivation of a truly free and open society where the rights to speak, to trade, to work, and to innovate are secure. Modern initiatives like the Ben Franklin Technology Partners are laudable continuations of this legacy, but they cannot succeed if the broader policy environment stifles the very permissionless, bottom-up innovation that defined the Commonwealth's golden age.¹⁴

Chapter 4: The Moral and Economic Imperative of a Second Chance

Pennsylvania's current approach to criminal justice represents a profound departure from its legacy of liberty and pragmatism. The web of restrictions and barriers it erects for formerly incarcerated individuals is not only a moral failing that denies the possibility of redemption; it is a staggering act of economic self-sabotage. A rational assessment of the data, informed by the principles of a free society, demands radical reform. The state is caught in a self-perpetuating cycle of failure, spending vast sums to punish individuals and then enacting policies that make it nearly impossible for them to become productive, law-abiding citizens.

The scale of this self-inflicted wound is immense. Nearly 3 million Pennsylvanians—a staggering portion of the population—have a criminal record.¹⁵ Nationally, the figure is 1 in 3 adults.¹⁶ This is not a marginal issue affecting a small minority; it is a systemic problem that handicaps a huge segment of the potential workforce. The fiscal consequences of the current approach are ruinous. With a 65% recidivism rate within three years of release, Pennsylvania taxpayers spend more than \$359 million annually to manage the consequences of re-offense.¹⁵ At the national level, excluding the formerly incarcerated from the workforce reduces the Gross Domestic Product by an estimated \$78 billion to \$87 billion every year.¹⁷

The fulcrum of this problem is the clear and demonstrable link between employment and recidivism. Research shows that former inmates who remain employed for one year post-release are 35% less likely to commit another crime.¹⁵ Yet, state policy actively undermines this crucial pathway to stability. Nearly one in five jobs in Pennsylvania requires an occupational license, creating a formidable barrier to entry for those with a criminal record.¹⁵ States with heavier licensing burdens have been shown to experience significantly higher recidivism rates.¹⁷ The state is thus caught in a policy-induced failure loop: it spends billions to enforce laws and incarcerate offenders, then imposes licensing requirements that prevent those same individuals from re-integrating into society, which in turn drives up the recidivism that necessitates further state expenditure. This is a perfect and tragic

illustration of a negative-sum political game.⁵

The economic case for dismantling these barriers is overwhelming. A detailed analysis from Philadelphia provides a stunning model of the potential benefits. Connecting just 100 formerly incarcerated individuals with employment would produce \$1.2 million in annual earnings, yield a combined \$2.7 million in lifetime wage and sales tax revenues, and result in over \$5.2 million in annual cost savings to criminal justice agencies.¹⁷ Extrapolated statewide, these figures represent a fiscal windfall of hundreds of millions of dollars. The business community has already recognized the potential. Data shows that 85% of HR leaders report that second-chance hires perform the same as or better than other employees, and some firms have found their turnover is significantly lower.¹⁶ Federal programs like the Work Opportunity Tax Credit and the Federal Bonding Program already exist to mitigate risks and incentivize employers.¹⁹

Ultimately, the argument for a "Second Chance" is not about government charity; it is about restoring economic liberty and individual agency. The data shows that more than 93% of formerly incarcerated individuals in their prime working years are actively working or looking for work.¹⁶ The primary obstacle is not a lack of will or a deficit of character, but the denial of legal permission from the state to earn an honest living. Reform, therefore, is not a matter of creating a new government program, but of ceasing a pernicious government infringement upon a fundamental human right. It is the most fiscally conservative and philosophically consistent solution to a crisis of the state's own making.

Metric	Costs of the Status Quo	Benefits of Second-Chance Reforms (Projected)

Direct Fiscal Impact	Annual recidivism cost: \$359M+ 15 Annual incarceration costs: \$43,000 per inmate 16	Direct savings to police, courts, corrections 18 Increased wage & sales tax revenue 18
Economic Impact	Lost GDP: \$78B-\$87B annually (national) 17 Wage penalties for ex-offenders: 51.7% reduction 16	Increased annual earnings and purchasing power 18 Access to a larger, motivated labor pool for employers 16
Business Impact	Smaller available talent pool Higher community crime rates	Lower employee turnover rates 17 Access to skilled and loyal workers 16
Social Impact	High recidivism (65% in PA) 15 Generational cycles of poverty and incarceration	Reduced crime and improved public safety 17 Stronger families and communities

Chapter 5: Cultivating Prosperity: Property, Markets, and the Future of the Commonwealth's Farmland

Agriculture is a cornerstone of Pennsylvania's economy and heritage. The industry contributes an estimated \$132 billion to the Commonwealth's economy annually and supports nearly 600,000 jobs.²⁰ With over 52,000 farms spread across 7.3 million acres, the state is a national leader in a diverse range of commodities, from dairy and poultry to mushrooms and organic produce.²¹ The state government rightfully recognizes the importance of this sector. However, its primary policy for supporting agriculture—a massive, top-down farmland preservation program—reveals an interventionist mindset that is both costly and philosophically at odds with the principles of a market economy. A more durable path to agricultural vitality lies not in subsidizing the status quo, but in strengthening property rights, removing barriers to profitability, and fostering the innovation that is the true engine of progress.

The centerpiece of Pennsylvania's agricultural policy is its Farmland Preservation Program. Since its inception in 1988, the program has spent over \$1.78 billion in state, county, and local funds to purchase development rights and protect 658,681 acres of farmland, making it the largest such program in the nation.²⁰ The stated purpose is to safeguard this land from being converted into "warehouses or housing developments".²⁰ While the goal of maintaining a vibrant agricultural sector is laudable, the method is deeply flawed.

The very existence of this multi-billion-dollar program creates a fundamental contradiction. On one hand, the state celebrates the economic dynamism and \$132 billion contribution of its agricultural sector. On the other, it implements a policy based on the implicit premise that farming is not an economically viable use of land, unable to compete with other uses in an open market. This is not a market failure; it is the market functioning correctly, sending price signals about the most highly valued use of a scarce resource. The preservation program is a massive, state-funded effort to override these signals. A statesman's approach would not be to treat the symptom—land conversion—but to diagnose the underlying disease. Why is the market value for development higher than for farming? Are property taxes too burdensome? Are environmental regulations too costly? Is there a lack of access to capital for innovation? The preservation program papers over these critical questions with taxpayer money.

The state's concurrent investments in both land preservation and agricultural technology (AgTech) highlight two competing visions for the future of farming.²⁰ The first is a static, preservationist model that seeks to freeze the current landscape in place through public expenditure. It pays farmers *not* to do something—sell their land to the highest bidder. The second is a dynamic, entrepreneurial model that seeks to make farming so innovative, efficient, and profitable that the "threat" of development diminishes on its own terms. This latter vision, which empowers farmers as entrepreneurs rather than treating them as subsidized custodians of a state-designated landscape, is far more consistent with Pennsylvania's historical legacy of innovation and the principles of a free market.

The evidence suggests that Pennsylvania's farmers, 99% of whom are family-owned, are already stewards of their land and open to innovation.²³ A significant percentage, for example, already employ

conservation methods like no-till farming.²³ The role of the state should be to create an environment where this stewardship and entrepreneurialism can flourish. This means reducing the tax and regulatory burdens that depress profitability, ensuring strong property rights, and allowing market forces—not state bureaucracies—to guide land use. A profitable, innovative farmer is the best and most effective conservationist. A policy framework that trusts and empowers these individuals will do more to secure the future of Pennsylvania agriculture than any state-run preservation program ever could.

Chapter 6: From Prohibition's Peril to Market Order: The Case for Cannabis Legalization

Nowhere is the contrast between the chaos of government prohibition and the order of a free market more starkly illustrated than in the current state of cannabis policy. The emergence of a dangerous, unregulated market for semi-legal, hemp-derived cannabinoids like Delta-8 THC provides a definitive and tragic case study in the failures of prohibition. This public health crisis, born directly from a flawed and inconsistent legal framework, demonstrates that prohibition does not eliminate demand; it merely drives it into the shadows, creating perverse incentives and catastrophic outcomes. The only rational and principled path forward is to replace the perils of prohibition with the order of a legal, regulated adult-use cannabis market.

The current situation is a textbook example of prohibition-induced chaos. The federal government's continued prohibition of cannabis (Delta-9 THC) combined with the 2018 Farm Bill's legalization of hemp created a legal loophole. Entrepreneurs began using a chemical process to convert legal, hemp-derived CBD into psychoactive Delta-8 THC.²⁴ Because this product is not derived from marijuana, it exists in a legal grey area, sold openly in gas stations, convenience stores, and vape shops with little to no oversight.²⁵ The results have been disastrous. The Food and Drug Administration (FDA) and the Centers for Disease Control and Prevention (CDC) have issued strong public warnings about the serious health risks associated with these products.²⁴ Between January 2021 and February 2022, national poison control centers received 2,362 exposure cases related to Delta-8 THC. A shocking 41% of these cases involved pediatric patients, and 40% of all exposures

were unintentional.²⁶ These incidents have led to hallucinations, vomiting, loss of consciousness, hospitalizations, and at least one reported pediatric death.²⁶ The products themselves are a black box for consumers; they are unregulated, untested, and may contain harmful contaminants like heavy metals, pesticides, or residual solvents from the manufacturing process.²⁴ To make matters worse, they are often sold in "copycat" packaging that mimics popular brands of candy and snacks, making them dangerously appealing to children.²⁷ This public health crisis is not an argument *against* legalization; it is the most powerful argument *for* it. It is the direct, predictable consequence of a failed prohibitionist policy.

The alternative is the order of a regulated market. For Pennsylvania, the fiscal and social benefits would be transformative. First, it would end the enormous financial drain of enforcing cannabis prohibition, a "war" waged primarily against consumers that has likely cost Pennsylvania taxpayers more than \$1 billion in the last decade alone.²⁹ Second, it would create a massive new stream of public revenue. Conservative estimates project that a legal adult-use market would generate between \$1 billion and \$1.4 billion in tax revenue in its first four years, with the potential to reach \$2.1 billion within five years.³⁰ Governor Shapiro's own budget framework estimated that a 20% tax would raise over half a billion dollars in a single fiscal year.³²

These funds could be directed toward critical public services, including substance use disorder prevention, treatment programs, and community reinvestment in areas disproportionately harmed by past criminalization.³³ Most importantly, a legal market would replace the dangerous, untested products of the grey market with a system of rational regulation. It would allow the state to mandate laboratory testing for purity and potency, enforce child-resistant packaging and clear labeling, and implement strict age verification at the point of sale. It would substitute order for chaos, safety for danger, and liberty for coercion.

This choice represents the ultimate test of statesmanship versus politics. The purely political approach is to maintain the status quo of prohibition, appealing to an outdated moral stance while ignoring the tangible harms and fiscal waste it creates. The statesman's approach,

as defined by a commitment to courage, vision, and rational analysis, is to confront the reality of the situation.¹⁰ A statesman would examine the data on the public health crisis, the fiscal costs of enforcement, and the potential revenue from a regulated market and conclude that legalization is the most responsible, pragmatic, and principled course of action.

Metric	Current Prohibition / Grey Market	Decriminalization Only	Full Adult-Use Legalization & Regulation
Annual State Fiscal Impact	Net Cost: \$100M+ in enforcement costs ²⁹	Reduced enforcement costs, but no new revenue	Net Gain: \$320M - \$610M+ in tax revenue by year four ³⁰
Public Safety Outcomes	Thousands of poison control calls; ER visits; pediatric hospitalizations ²⁶	Unregulated grey market persists; public health risks remain	Drastic reduction in accidental poisonings; elimination of grey market incentives
Consumer Protection	None. Untested, unlabeled products; risk of contaminants; candy-like packaging ²⁴	None. No change to product safety or marketing practices	Mandatory lab testing for potency & purity; child-resistant packaging; strict age verification
Economic Opportunity	Illicit market only; risk of arrest	Limited impact	Creation of a new legal industry with thousands of jobs and new businesses ³³

Individual Liberty	High. Arrests for possession and use; state intrusion into personal choice ²⁹	Partial. Reduces penalties but still treats activity as an offense, not a right	High. Respects adult autonomy and the right to personal choice within a regulated framework
---------------------------	--	---	---

Conclusion: A Blueprint for the States

The Commonwealth of Pennsylvania, the Keystone State of the American founding, now stands as a keystone for its revival. The challenges it faces—a criminal justice system that creates cycles of failure, an agricultural policy that favors subsidy over enterprise, and a prohibitionist regime that fosters chaos instead of order—are not unique to Pennsylvania. They are emblematic of the policy dilemmas confronting states across the nation. The solutions proposed herein, therefore, constitute more than a plan for one state; they are a transferable blueprint for any state that seeks to reclaim its role as a guarantor of liberty and a catalyst for prosperity.

The path forward lies in the application of three core principles. First, the restoration of statesmanship, which demands the courage to replace failed policies with rational, evidence-based solutions, even in the face of political expediency. Second, a renewed commitment to federalism, recognizing that the states are the proper "laboratories of liberty," capable of innovating and adapting in ways a centralized government cannot.¹² Third, an unwavering trust in the power of free markets and individual liberty to create order, solve problems, and generate wealth more effectively than any top-down plan.

The specific reforms analyzed in this treatise—dismantling occupational licensing barriers to give individuals a second chance, shifting from state-led land acquisition to market-based agricultural innovation, and replacing the manifest dangers of prohibition with the safety and order of a regulated market—are practical applications of these principles. They demonstrate that a commitment to limited government and free markets is not an abstract ideology but a pragmatic program for human flourishing.

The revival of the American republic will not be decreed from Washington, D.C. It will emerge, state by state, from the bottom up. It will be driven by leaders who choose to be statesmen rather than politicians, and by citizens who demand a government that respects their liberty instead of managing their lives. This treatise has sought to provide a practical guide for that renewal. The third and final volume will turn to the deeper, more foundational question of how to cultivate the cultural and philosophical virtues necessary to sustain a free society once its political and economic architecture has been restored. For a house built on sand cannot stand, and the house of liberty must be built upon the solid rock of a virtuous and self-reliant people.

Works cited

1. The Importance of Pennsylvania in American History, accessed October 21, 2025, <https://pennsa.com.br/the-importance-of-pennsylvania-in-american-history/>
2. Pennsylvania - Wikipedia, accessed October 21, 2025, <https://en.wikipedia.org/wiki/Pennsylvania>
3. ExplorePAHistory.com - Stories from PA History, accessed October 21, 2025, <https://explorepahistory.com/story.php%3FstoryId=1-9-1C.html>
4. Science and Technology Archives - Encyclopedia of Greater Philadelphia, accessed October 21, 2025, <https://philadelphiaencyclopedia.org/subjects/science-and-technology/>
5. Liberty at Home, Restraint Abroad: A Realist Approach to Foreign Policy | Cato Institute, accessed October 21, 2025, <https://www.cato.org/free-society/summer-2024/liberty-home-restraint-abroad-realist-approach-foreign-policy>
6. Not always at the helm: The Federalist and the modern dismissal of statesmanship - VU Research Portal, accessed October 21, 2025, https://research.vu.nl/files/215696071/Not_Always_at_the_Helm.pdf
7. Statesman - Simple English Wikipedia, the free encyclopedia, accessed October 21, 2025, <https://simple.wikipedia.org/wiki/Statesman>
8. Full article: Statesmanship Beyond the Modern State - Taylor & Francis Online, accessed October 21, 2025, <https://www.tandfonline.com/doi/full/10.1080/10457097.2016.1229563>
9. Pro Catone: Recovering Cato's Spirit of Republican Virtue - The

Stanford Review, accessed October 21, 2025, <https://stanfordreview.org/pro-catone-recovering-catos-spirit-of-republican-virtue/>

10. What a Statesman Would Do | Paul Simon Public Policy Institute | SIU, accessed October 21, 2025, <https://paulsimoninstitute.siu.edu/intiatives/what-a-statesman-would-do.php>
11. Is It America's Fate to Decline and Fall? Here's What History Says. | Cato Institute, accessed October 21, 2025, <https://www.cato.org/commentary/it-americas-fate-decline-fall-heres-what-history-says>
12. Federal Versus State Policies | Cato at Liberty Blog, accessed October 21, 2025, <https://www.cato.org/blog/federal-versus-state-policies>
13. How States Think: The Rationality of Foreign Policy | Cato Institute, accessed October 21, 2025, <https://www.cato.org/multimedia/events/how-states-think-rationality-foreign-policy>
14. COMMONWEALTH OF INNOVATION: - Brookings Institution, accessed October 21, 2025, https://www.brookings.edu/wp-content/uploads/2022/10/PAInnovationReport_FullReport.pdf
15. Second Chance Occupational Licensing Reform in Pennsylvania | Fact Sheet | Economy, accessed October 21, 2025, <https://www.americafirstpolicy.com/issues/second-chance-occupational-licensing-reform-in-pennsylvania>
16. The Workforce Impact of Second Chance Hiring | U.S. Chamber of Commerce, accessed October 21, 2025, <https://www.uschamber.com/workforce/data-deep-dive-the-workforce-impact-of-second-chance-hiring-3>
17. THE BUSINESS CASE FOR CRIMINAL JUSTICE REFORM: SECOND CHANCE HIRING - U.S. Chamber of Commerce, accessed October 21, 2025, https://www.uschamber.com/assets/documents/uscc_business_case_for_cj-second_chance_hiring_report_aug2021.pdf
18. Economic Benefits of Employing Formerly Incarcerated Individuals in Philadelphia | Executive Summary, accessed October 21, 2025, <https://www.economyleague.org/sites/default/files/legacy/7211704136107834-economic-benefits-of->

- [employing-formerly-incarcerated-executive-summary.pdf](#)
19. Community Reentry | Department of Labor and Industry | Commonwealth of Pennsylvania, accessed October 21, 2025, <https://www.pa.gov/agencies/dli/resources/community-reentry-resources>
 20. Shapiro Admin Preserves More Farms in PA Than Any Other State in the Nation, accessed October 21, 2025, <https://www.pa.gov/governor/newsroom/2025-press-releases/shapiro-admin-preserves-more-farms-in-pa-than-any-other-state-in>
 21. Agriculture - PA Gets It Done, accessed October 21, 2025, https://pagetsitdone.com/key_industries/agriculture
 22. Agriculture in Pennsylvania - The Nature Conservancy, accessed October 21, 2025, <https://www.nature.org/en-us/about-us/where-we-work/united-states/pennsylvania/pennsylvania-agriculture/>
 23. Economic Impact - Lancaster County Agriculture Council, accessed October 21, 2025, <https://www.lancasteragcouncil.com/economic-impact>
 24. Take Heed: FDA & CDC Release Health Alerts About Delta-8 THC - Frost Brown Todd, accessed October 21, 2025, <https://frostbrowntodd.com/take-heed-fda-cdc-release-health-alerts-about-delta-8-thc/>
 25. FDA issues strong warning on cannabis products containing delta-8 THC | UCLA Health, accessed October 21, 2025, <https://www.uclahealth.org/news/article/fda-issues-strong-warning-on-cannabis-products-containing-delta-8-thc>
 26. 5 Things to Know about Delta-8 Tetrahydrocannabinol – Delta-8 THC | FDA, accessed October 21, 2025, <https://www.fda.gov/consumers/consumer-updates/5-things-know-about-delta-8-tetrahydrocannabinol-delta-8-thc>
 27. The Public Safety Risk of Hemp Products Sold at Unlicensed Retailers, accessed October 21, 2025, <https://www.heraldopenaccess.us/openaccess/the-public-safety-risk-of-hemp-products-sold-at-unlicensed-retailers>
 28. Sales of delta-8 and other hemp products have soared. So have calls to poison control centers. | The Examination, accessed October 21, 2025, <https://www.theexamination.org/articles/>

[delta-8-hemp-sales-soar-poison-control-center-calls](#)

29. Pennsylvania Taxpayers Spend Billions On Marijuana Criminalization While Neighboring States Reap Benefits Of Legalization (Op-Ed), accessed October 21, 2025, <https://www.marijuanamoment.net/pennsylvania-taxpayers-spend-billions-on-marijuana-criminalization-while-neighboring-states-reap-benefits-of-legalization-op-ed/>
30. Adult-Use Cannabis Legalization in Pennsylvania Would Generate Over \$1 Billion in Tax Revenue in First Four Years of Legal Sales, accessed October 21, 2025, [https://www.mpp.org/news/press/adult-use-cannabis-legalization-in-pennsylvania-would-generate-over-\\$1-billion-in-tax-revenue-in-first-four-years-of-legal-sales/](https://www.mpp.org/news/press/adult-use-cannabis-legalization-in-pennsylvania-would-generate-over-$1-billion-in-tax-revenue-in-first-four-years-of-legal-sales/)
31. Pennsylvania Could Generate More Than \$2 Billion In Marijuana Tax Revenue After Five Years If It Enacts Legalization, Report Finds, accessed October 21, 2025, <https://www.marijuanamoment.net/pennsylvania-could-generate-more-than-2-billion-in-marijuana-tax-revenue-after-five-years-if-it-enacts-legalization-report-finds/>
32. Cannabis legalization bill advances in Pennsylvania House, accessed October 21, 2025, <https://www.cityandstatepa.com/policy/2025/05/cannabis-legalization-bill-advances-pennsylvania-house/405070/>

FISCAL NOTE - PA General Assembly, accessed October 21, 2025, <https://www.legis.state.pa.us/WU01/LI/BI/FN/2025/0/HB1200P1641.pdf>